

FLEX SUPREME – FULL DOC

| Maximum LTV/CLTVs                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Primary Residence     |                                                                                                                                     |                                |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|-------------------------------------------------------------------------------------------------------------------------------------|--------------------------------|
| Credit Score                                                                                                                                                                                                                                                                                                                       | Loan Amount                                                                                                                                                                                                                                                                                                                                                                                                                                                | Purchase & Rate/ Term | Cash-Out Refinance                                                                                                                  | Property                       |
| 740                                                                                                                                                                                                                                                                                                                                | \$150,000 - \$3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                    | 80%                   | 75%                                                                                                                                 | SFR, PUD, W/Condo, & 2-4 Units |
|                                                                                                                                                                                                                                                                                                                                    | \$3,000,001 - \$3,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                  | 75%                   | 70%                                                                                                                                 |                                |
| 720                                                                                                                                                                                                                                                                                                                                | \$150,000 - \$1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                    | 80%                   | 75%                                                                                                                                 |                                |
|                                                                                                                                                                                                                                                                                                                                    | \$1,500,001 - \$3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                  | 80%                   | 75%                                                                                                                                 |                                |
| 700                                                                                                                                                                                                                                                                                                                                | \$150,000 - \$1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                    | 80%                   | 75%                                                                                                                                 |                                |
|                                                                                                                                                                                                                                                                                                                                    | \$1,500,001 - \$3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                  | 75%                   | 70%                                                                                                                                 |                                |
| 680                                                                                                                                                                                                                                                                                                                                | \$150,000 - \$1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                    | 75%                   | 70%                                                                                                                                 |                                |
|                                                                                                                                                                                                                                                                                                                                    | \$1,500,001 - \$2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                  | 75%                   | 65%                                                                                                                                 |                                |
| Maximum LTV/CLTVs                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Second Home           |                                                                                                                                     |                                |
| Credit Score                                                                                                                                                                                                                                                                                                                       | Loan Amount                                                                                                                                                                                                                                                                                                                                                                                                                                                | Purchase & Rate/ Term | Cash-Out Refinance                                                                                                                  | Property                       |
| 740                                                                                                                                                                                                                                                                                                                                | \$150,000 - \$3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                    | 80%                   | 75%                                                                                                                                 | SFR, PUD, & W/Condo            |
|                                                                                                                                                                                                                                                                                                                                    | \$3,000,001 - \$3,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                  | 75%                   | 70%                                                                                                                                 |                                |
| 720                                                                                                                                                                                                                                                                                                                                | \$150,000 - \$1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                    | 80%                   | 75%                                                                                                                                 |                                |
|                                                                                                                                                                                                                                                                                                                                    | \$1,500,001 - \$3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                  | 75%                   | 70%                                                                                                                                 |                                |
| 700                                                                                                                                                                                                                                                                                                                                | \$150,000 - \$1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                    | 80%                   | 75%                                                                                                                                 |                                |
|                                                                                                                                                                                                                                                                                                                                    | \$1,500,001 - \$3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                  | 75%                   | 70%                                                                                                                                 |                                |
| 680                                                                                                                                                                                                                                                                                                                                | \$150,000 - \$1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                    | 75%                   | 70%                                                                                                                                 |                                |
|                                                                                                                                                                                                                                                                                                                                    | \$1,000,001 - \$2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                  | 70%                   | 65%                                                                                                                                 |                                |
| Housing Event / Credit Event Seasoning Requirements                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                       |                                                                                                                                     |                                |
| Credit Event Minimum Requirements                                                                                                                                                                                                                                                                                                  | Borrowers with significant derogatory credit events must meet the following criteria:                                                                                                                                                                                                                                                                                                                                                                      |                       |                                                                                                                                     |                                |
| BK/FC/SS/DIL/Mod                                                                                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"><li>• Max DTI 45%</li><li>• All borrowers must have reestablished acceptable credit verified after the credit event.</li><li>• Borrowers with unrelated multiple significant credit events are ineligible.</li><li>• Minimum 4 years must have elapsed from the date of the credit event.</li><li>• FTHB - requires &gt;= 7 years seasoning from the completion date of a significant derogatory credit event.</li></ul> |                       |                                                                                                                                     |                                |
| Geographic Restrictions                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                       |                                                                                                                                     |                                |
| <ul style="list-style-type: none"><li>• FL: Non-Permanent Resident Aliens from China are ineligible.</li><li>• HI: Non-licensed State.</li><li>• MD: Baltimore City Row Homes are ineligible.</li><li>• TX: Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible.</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                       |                                                                                                                                     |                                |
| General Requirements                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                       |                                                                                                                                     |                                |
| Product Type                                                                                                                                                                                                                                                                                                                       | <ul style="list-style-type: none"><li>• Fixed Rate Fully Amortizing Terms: 30, 20 years. Fixed Rate I/O: 40 years.</li></ul>                                                                                                                                                                                                                                                                                                                               |                       |                                                                                                                                     |                                |
| Interest Only                                                                                                                                                                                                                                                                                                                      | <ul style="list-style-type: none"><li>• 10 year I/O period. Must qualify off fully amortizing payment</li></ul>                                                                                                                                                                                                                                                                                                                                            |                       |                                                                                                                                     |                                |
| Loan Amounts                                                                                                                                                                                                                                                                                                                       | <ul style="list-style-type: none"><li>• Min \$150,000 and Max \$3,500,000</li></ul>                                                                                                                                                                                                                                                                                                                                                                        |                       |                                                                                                                                     |                                |
| Occupancy                                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"><li>• Primary and Second Homes. Investment Properties are not permitted.</li></ul>                                                                                                                                                                                                                                                                                                                                       |                       |                                                                                                                                     |                                |
| Loan Purpose                                                                                                                                                                                                                                                                                                                       | <ul style="list-style-type: none"><li>• Purchase, Rate/Term, Debt Consolidation and Cash Out</li></ul>                                                                                                                                                                                                                                                                                                                                                     |                       |                                                                                                                                     |                                |
| Cash Out                                                                                                                                                                                                                                                                                                                           | <ul style="list-style-type: none"><li>• Minimum of 6 (six) months seasoning from most recent transaction</li></ul>                                                                                                                                                                                                                                                                                                                                         |                       |                                                                                                                                     |                                |
|                                                                                                                                                                                                                                                                                                                                    | <ul style="list-style-type: none"><li>• Max cash-out - \$1,000,000</li></ul>                                                                                                                                                                                                                                                                                                                                                                               |                       |                                                                                                                                     |                                |
|                                                                                                                                                                                                                                                                                                                                    | <ul style="list-style-type: none"><li>• Refinance of an existing Texas 50(a)(6), Texas Section 50(a)(4) and Texas Section 50(a)(3) Loans are ineligible.</li></ul>                                                                                                                                                                                                                                                                                         |                       |                                                                                                                                     |                                |
|                                                                                                                                                                                                                                                                                                                                    | <ul style="list-style-type: none"><li>• Not permitted in Declining Markets</li></ul>                                                                                                                                                                                                                                                                                                                                                                       |                       |                                                                                                                                     |                                |
| Rate and Term                                                                                                                                                                                                                                                                                                                      | <ul style="list-style-type: none"><li>• Max cash back is the lesser of \$5,000 or 2% of the loan amount.</li></ul>                                                                                                                                                                                                                                                                                                                                         |                       |                                                                                                                                     |                                |
| Borrower Eligibility                                                                                                                                                                                                                                                                                                               | <ul style="list-style-type: none"><li>• US Citizens</li><li>• Permanent Resident Aliens</li><li>• Non-Permanent Resident (H1B &amp; L1 Visas only)</li></ul>                                                                                                                                                                                                                                                                                               |                       | Ineligible: <ul style="list-style-type: none"><li>• Non-Occupant Co-Borrowers</li><li>• ITINs</li><li>• Foreign Nationals</li></ul> |                                |
|                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                       |                                                                                                                                     |                                |
| Appraisals                                                                                                                                                                                                                                                                                                                         | <ul style="list-style-type: none"><li>• FNMA Form 1004, 1025, 1073 with interior/exterior inspection.</li><li>• 2<sup>nd</sup> Appraisal required for loans &gt; \$2,000,000.</li><li>• Appraisal Review Product to be ordered on all loans with an SSR over 2.5 with the exception of those with a full second appraisal.</li></ul>                                                                                                                       |                       |                                                                                                                                     |                                |
| Property Type                                                                                                                                                                                                                                                                                                                      | <ul style="list-style-type: none"><li>• Single Family (Attached, Detached), PUD</li></ul>                                                                                                                                                                                                                                                                                                                                                                  |                       |                                                                                                                                     |                                |
|                                                                                                                                                                                                                                                                                                                                    | <ul style="list-style-type: none"><li>• SFR with &gt;1 ADU or 2-4 units with 1 ADU are permitted if subject is in a municipality that allows. Appraiser must specifically confirm compliance with local regulations.</li></ul>                                                                                                                                                                                                                             |                       |                                                                                                                                     |                                |
|                                                                                                                                                                                                                                                                                                                                    | <ul style="list-style-type: none"><li>• 2-4 Unit (not eligible for FTHBs)</li></ul>                                                                                                                                                                                                                                                                                                                                                                        |                       |                                                                                                                                     |                                |
|                                                                                                                                                                                                                                                                                                                                    | <ul style="list-style-type: none"><li>• Warrantable Condominiums – FNMA Full Project Review, FNMA PERS Approved or CPM Approval</li></ul>                                                                                                                                                                                                                                                                                                                  |                       |                                                                                                                                     |                                |
|                                                                                                                                                                                                                                                                                                                                    | <ul style="list-style-type: none"><li>• Non-Warrantable Condos and Condotels are not permitted</li></ul>                                                                                                                                                                                                                                                                                                                                                   |                       |                                                                                                                                     |                                |
|                                                                                                                                                                                                                                                                                                                                    | <ul style="list-style-type: none"><li>• Max 10 acres</li></ul>                                                                                                                                                                                                                                                                                                                                                                                             |                       |                                                                                                                                     |                                |
| Declining Markets                                                                                                                                                                                                                                                                                                                  | <ul style="list-style-type: none"><li>• Rural Properties are not permitted</li></ul>                                                                                                                                                                                                                                                                                                                                                                       |                       |                                                                                                                                     |                                |
|                                                                                                                                                                                                                                                                                                                                    | <ul style="list-style-type: none"><li>• Leasehold not permitted</li></ul>                                                                                                                                                                                                                                                                                                                                                                                  |                       |                                                                                                                                     |                                |
| Declining Markets                                                                                                                                                                                                                                                                                                                  | <ul style="list-style-type: none"><li>• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when &gt;65% LTV.</li><li>• Cash Out not permitted in Declining Markets.</li></ul>                                                                                                                                                                                                                                |                       |                                                                                                                                     |                                |

| Income Requirements - Flex Supreme – Full Doc       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|-----------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Income                                              | <ul style="list-style-type: none"><li>• Wage/Salary: Paystubs, W-2, 2-Years or 1-Year of Tax Returns, IRS Form 4506</li><li>• Self-Employed: 2-Years or 1-Year of Personal and Business Tax Returns, YTD P&amp;L, IRS Form 4506, 2 months of most recent bank statements</li><li>• Verbal VOE required within 10-days of Note Date for wage earners; 30 days for self-employed borrowers.</li></ul>                                                                                                                                                                                                                                                                                                    |                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Underwriting Requirements - Flex Supreme – Full Doc |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Credit Score                                        | <p>The qualifying score will be based on the lowest qualifying score of all borrowers.</p> <p>For each borrower, the qualifying score is defined as follows:</p> <ul style="list-style-type: none"><li>• The lowest mid-score(s) of 3 scores will be used to qualify.</li><li>• A minimum of 2 scores is required.</li><li>• Borrowers with 2 credit scores: use the lower of the two scores to qualify.</li></ul>                                                                                                                                                                                                                                                                                     | DTI Requirements       | <ul style="list-style-type: none"><li>• Max 50%</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                |
|                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Residual               | <ul style="list-style-type: none"><li>• Defined as Gross Monthly Income – Total Monthly Obligations.</li><li>• Requirement based on # in household.</li><li>• Applies to HPML loans or when the DTI &gt; 43%:</li><li>• 1 person = \$1,500</li><li>• 2 persons = \$2,500</li><li>• Add \$150 per additional household member</li></ul>                                                                                                                                                   |
|                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Assets                 | <ul style="list-style-type: none"><li>• 60-day asset verification required</li><li>• Deposits &gt; 50% of gross income must be documented on purchases.</li></ul>                                                                                                                                                                                                                                                                                                                        |
| Tradelines                                          | <ul style="list-style-type: none"><li>• Tradeline requirements are not waived when the Primary has 3 credit scores.</li><li>• Each borrower must have a min of 3 traditional tradelines rated for at least 12 months, OR 2 trades for 24+ months, OR 24-month mortgage history reporting on credit.</li><li>• Trades must reflect an acceptable payment history to be considered – no exceptions.</li><li>• Closed accounts may be used to satisfy the min tradeline requirements if payment history is acceptable.</li><li>• Deferred accounts (w/o payment history) cannot be used to meet the min requirement.</li><li>• Borrowers who do not meet the requirements above are ineligible.</li></ul> | Reserves               | <ul style="list-style-type: none"><li>• &lt;= \$500,000 = 3 months PITIA</li><li>• &gt; \$500,000 to \$1,500,000 = 6 months PITIA</li><li>• &gt; \$1,500,000 to \$2,500,000 = 9 months PITIA</li><li>• &gt; \$2,500,000 to \$3,500,000 = 12 months PITIA</li><li>• Cash-out proceeds may be used to satisfy reserves.</li><li>• Borrowers owning multiple financed properties require an additional 2 months of the subject properties PITIA in total (not per additional REO)</li></ul> |
|                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Gift Funds             | <ul style="list-style-type: none"><li>• Permitted on 1-unit properties only, provided borrower meets the minimum contribution.</li><li>• 5% primary</li><li>• 10% second home</li><li>• 100% of down payment and closing cost may come from gifted funds for OO and SH to 75% LTV.</li><li>• Gift funds not permitted to be used towards reserves.</li></ul>                                                                                                                             |
| Housing/Rental History                              | <ul style="list-style-type: none"><li>• 0x30x12</li><li>• FTHB 0x30x24</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | First Time Home Buyers | <ul style="list-style-type: none"><li>• 1-Unit Primary Residence only</li><li>• 0x30x24 rental history</li><li>• At least 1 borrower must have a 24-month rental history.</li><li>• Min 7-years seasoning for credit events.</li><li>• When at least one borrower has owned a residential property in the prior 3 years, the FTHB requirements do not apply.</li></ul>                                                                                                                   |
| Age of Documentation                                | <ul style="list-style-type: none"><li>• Credit - 120 days</li><li>• Income and Assets - 90 days</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Interested Party Contributions                      | <ul style="list-style-type: none"><li>• &lt;= 75% LTV = 9%</li><li>• &gt; 75% = 6%</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Prepayment Penalty                                  | <ul style="list-style-type: none"><li>• Not permitted.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |

FLEX SUPREME – ALT DOC

| Maximum LTV/CLTVs                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Primary Residence                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                               |                                |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|--------------------------------|
| Credit Score                                                                                                                                                                                                                                                                                                               | Loan Amount                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Purchase & Rate/ Term                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Cash-Out Refinance                                                                                                            | Property                       |
| 740                                                                                                                                                                                                                                                                                                                        | \$150,000 - \$3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 80%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 75%                                                                                                                           | SFR, PUD, W/Condo, & 2-4 Units |
|                                                                                                                                                                                                                                                                                                                            | \$3,000,001 - \$3,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 75%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 70%                                                                                                                           |                                |
| 720                                                                                                                                                                                                                                                                                                                        | \$150,000 - \$1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 80%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 75%                                                                                                                           |                                |
|                                                                                                                                                                                                                                                                                                                            | \$1,500,001 - \$3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 80%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 75%                                                                                                                           |                                |
| 700                                                                                                                                                                                                                                                                                                                        | \$150,000 - \$1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 80%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 75%                                                                                                                           |                                |
|                                                                                                                                                                                                                                                                                                                            | \$1,500,001 - \$3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 75%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 70%                                                                                                                           |                                |
| 680                                                                                                                                                                                                                                                                                                                        | \$150,000 - \$1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 75%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 70%                                                                                                                           |                                |
|                                                                                                                                                                                                                                                                                                                            | \$1,500,001 - \$2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 75%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 65%                                                                                                                           |                                |
| Maximum LTV/CLTVs                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Second Home                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                               |                                |
| Credit Score                                                                                                                                                                                                                                                                                                               | Loan Amount                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Purchase & Rate/ Term                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Cash-Out Refinance                                                                                                            | Property                       |
| 740                                                                                                                                                                                                                                                                                                                        | \$150,000 - \$3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 80%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 75%                                                                                                                           | SFR, PUD, & W/Condo            |
|                                                                                                                                                                                                                                                                                                                            | \$3,000,001 - \$3,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 75%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 70%                                                                                                                           |                                |
| 720                                                                                                                                                                                                                                                                                                                        | \$150,000 - \$1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 80%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 75%                                                                                                                           |                                |
|                                                                                                                                                                                                                                                                                                                            | \$1,500,001 - \$3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 75%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 70%                                                                                                                           |                                |
| 700                                                                                                                                                                                                                                                                                                                        | \$150,000 - \$1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 80%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 75%                                                                                                                           |                                |
|                                                                                                                                                                                                                                                                                                                            | \$1,500,001 - \$3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 75%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 70%                                                                                                                           |                                |
| 680                                                                                                                                                                                                                                                                                                                        | \$150,000 - \$1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 75%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 70%                                                                                                                           |                                |
|                                                                                                                                                                                                                                                                                                                            | \$1,000,001 - \$2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 70%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 65%                                                                                                                           |                                |
| Housing Event / Credit Event Seasoning Requirements                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| Credit Event Minimum Requirements<br><br>BK/FC/SS/DIL/Mod                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Borrowers with significant derogatory credit events must meet the following criteria: <ul style="list-style-type: none"><li>Max DTI 45%</li><li>All borrowers must have reestablished acceptable credit verified after the credit event.</li><li>Borrowers with unrelated multiple significant credit events, are ineligible.</li><li>Minimum 4 years must have elapsed from the date of the credit event.</li><li>FTHB - requires &gt;= 7 years seasoning from the completion date of a significant derogatory credit event.</li></ul> |                                                                                                                               |                                |
| State Restrictions                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| <ul style="list-style-type: none"><li>FL: Non-Permanent Resident Aliens from China are ineligible.</li><li>HI: Non-licensed State.</li><li>MD: Baltimore City Row Homes are ineligible.</li><li>TX: Refinance of Texas Section 50(a)(6), Texas Section 50(f)(2) and Texas Section 50(a)(3) Loans are ineligible.</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| General Requirements                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| Product Type                                                                                                                                                                                                                                                                                                               | <ul style="list-style-type: none"><li>Fixed Rate Fully Amortizing Terms: 30, 20 years. Fixed Rate I/O: 40 years.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| Interest Only                                                                                                                                                                                                                                                                                                              | <ul style="list-style-type: none"><li>10 year I/O period. Must qualify off fully amortizing payment</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| Loan Amounts                                                                                                                                                                                                                                                                                                               | <ul style="list-style-type: none"><li>Min \$150,000 and Max \$3,500,000</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| Occupancy                                                                                                                                                                                                                                                                                                                  | <ul style="list-style-type: none"><li>Primary and Second Homes. Investment Properties not permitted.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| Loan Purpose                                                                                                                                                                                                                                                                                                               | <ul style="list-style-type: none"><li>Purchase, Rate/Term, and Debt Consolidation / Cash Out</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| Cash Out                                                                                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"><li>Minimum of 6 (six) months seasoning from most recent transaction</li><li>Max cash-out - \$1,000,000</li><li>Refinance of an existing Texas 50(a)(6), Texas Section 50(a)(4) or Texas Section 50(a)(3) Loan are ineligible.</li><li>Not permitted in Declining Markets.</li></ul>                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| Rate and Term                                                                                                                                                                                                                                                                                                              | <ul style="list-style-type: none"><li>Max cash back is the lesser of \$5,000 or 2% of the loan amount.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| Borrower Eligibility                                                                                                                                                                                                                                                                                                       | <ul style="list-style-type: none"><li>US Citizens</li><li>Permanent Resident Aliens</li><li>Non-Permanent Resident (H1B &amp; L1 Visas only)</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Ineligible: <ul style="list-style-type: none"><li>Non-Occupant Co-Borrowers</li><li>ITINs</li><li>Foreign Nationals</li></ul> |                                |
| Appraisals                                                                                                                                                                                                                                                                                                                 | <ul style="list-style-type: none"><li>FNMA Form 1004, 1025, 1073 with interior/exterior inspection.</li><li>2nd Appraisal required for loans &gt; \$2,000,000.</li><li>Appraisal Review Product to be ordered on all loans with an SSR over 2.5 with the exception of those with a full second appraisal.</li></ul>                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| Property Type                                                                                                                                                                                                                                                                                                              | <ul style="list-style-type: none"><li>Single Family (Attached, Detached), PUD</li><li>SFR with &gt;1 ADU or 2-4 units with 1 ADU are permitted if subject is in a municipality that allows. Appraiser must specifically confirm compliance with local regulations.</li><li>2-4 Unit (not eligible for FTHBs)</li><li>Warrantable Condominiums – FNMA Full Project Review, FNMA PERS Approved or CPM Approval</li><li>Non-Warrantable Condos and Condotels are not permitted</li><li>Max 10 acres</li><li>Rural Properties are not permitted</li><li>Leasehold not permitted</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |
| Declining Markets                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"><li>Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when &gt;65% LTV.</li><li>Cash Out not permitted in Declining Markets.</li></ul>                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                               |                                |

| Income Requirements - Flex Supreme - Alt Doc |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|----------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Stability and Continuance of Self-Employment | <ul style="list-style-type: none"><li>Sellers must verify the borrower's self-employment for the most recent consecutive 2 full years in the same business.</li><li>Borrowers receiving 1099 income are eligible provided that the 1099 income is in the same line of work and meets the required most recent consecutive 2 full years.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Acceptable Variance Levels                   | <p>12-months Bank Statements</p> <ul style="list-style-type: none"><li>Variances from month to month are likely to occur; however, a consistent pattern of declining deposits on a monthly basis or evidence of a decline in earnings will require sufficient satisfactory justification/explanation from the borrower and the income should be carefully considered for qualifying.</li></ul> <p>24-months Bank Statements</p> <ul style="list-style-type: none"><li>If the eligible deposits decline greater than 5% up to 10% year over year, it should be addressed.</li><li>If the decline of deposits is greater than 10% year over year, then the account is ineligible for use in the income calculation.</li></ul>                                                                                               |
| Personal Bank Statements                     | <ul style="list-style-type: none"><li>24 or 12-months of Personal and 2-months of business bank statements. If updated bank statements are provided, the income must be recalculated.</li><li>Qualifying income is determined by the total eligible deposits from the 24 or 12-months of personal statements divided by the number of statements.</li><li>The business bank statements must reflect business activity and transfers to the personal account.</li><li>Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history</li></ul>                                                                                                                                                                                                                 |
| Business/Co-Mingled Bank Statements:         | <ul style="list-style-type: none"><li>24 or 12-months of business bank statements. If updated bank statements are provided, the income must be recalculated. Qualifying income is determined by ONE of the following analysis methods:<ul style="list-style-type: none"><li>Fixed Expense Ratio (50%); OR</li><li>Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR</li><li>3rd party prepared Profit &amp; Loss Statement (CPA or EA).</li></ul></li><li>Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history</li></ul>                                                                                                                                                                                                       |
| Asset Utilization                            | <ul style="list-style-type: none"><li>May not be used as supplemental income.</li><li>Assets must be seasoned for three (3) months to be deemed eligible.</li><li>Monthly Income Calculation =<ul style="list-style-type: none"><li>Net Qualified Assets / 84 Months.</li></ul></li></ul> <p>Restrictions:</p> <ul style="list-style-type: none"><li>Cash-out transactions are ineligible.</li><li>Max LTV must be reduced by 10%.</li></ul> <p>Ineligible Assets:</p> <ul style="list-style-type: none"><li>Business assets.</li><li>Unseasoned Foreign Assets.</li><li>Proceeds from sale of real estate which is not seasoned for a minimum of three (3) months.</li><li>Privately traded or restricted / non-vested stocks.</li><li>Assets which produce income already included in the income calculation.</li></ul> |
| IRS Form 1099                                | <ul style="list-style-type: none"><li>2-Years' 1099</li><li>Fixed Expense Ratio of 10%</li><li>YTD documentation to support continued receipt of income from the same source.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |

| Underwriting Requirements - Flex Supreme – Alt Doc |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|----------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Credit Score                                       | <p>The qualifying score will be based on the lowest qualifying score of all borrowers.</p> <p>For each borrower, the qualifying score is defined as follows:</p> <ul style="list-style-type: none"> <li>The lowest mid-score(s) of 3 scores will be used to qualify.</li> <li>A minimum of 2 scores is required.</li> <li>Borrowers with 2 credit scores: use the lower of the two scores to qualify.</li> </ul>                                                                                                                                                                                                                                                                                  | DTI                    | <ul style="list-style-type: none"> <li>Max 50%</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Residual               | <ul style="list-style-type: none"> <li>Defined as Gross Monthly Income – Total Monthly Obligations.</li> <li>Requirement based on # in household.</li> <li>Applies to HPML loans or when the DTI &gt; 43%:</li> <li>1 person = \$1,500</li> <li>2 persons = \$2,500</li> <li>Add \$150 per additional household member.</li> </ul>                                                                                                                                                                                                         |
|                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Assets                 | <ul style="list-style-type: none"> <li>60-day asset verification required</li> <li>Deposits &gt; 50% of gross income must be documented on purchases.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                           |
| Tradelines                                         | <ul style="list-style-type: none"> <li>Tradeline requirements are not waived when the Primary has 3 credit scores.</li> <li>Each borrower must have a min of 3 traditional tradelines rated for at least 12 months, OR 2 trades for 24+ months, OR 24-month mortgage history reporting on credit.</li> <li>Trades must reflect an acceptable payment history to be considered – no exceptions.</li> <li>Closed accounts may be used to satisfy the min tradeline requirements if payment history is acceptable.</li> <li>Deferred accounts (w/o payment history) cannot be used to meet the min requirement.</li> <li>Borrowers who do not meet the requirements above are ineligible.</li> </ul> | Reserves               | <ul style="list-style-type: none"> <li>&lt;= \$500,000 = 3 months PITIA</li> <li>&gt; \$500,000 to \$1,500,000 = 6 months PITIA</li> <li>&gt; \$1,500,000 to \$2,500,000 = 9 months PITIA</li> <li>&gt; \$2,500,000 to \$3,500,000 = 12 months PITIA</li> <li>Asset Utilization: reserves are not required.</li> <li>Cash-out proceeds may be used to satisfy reserves.</li> <li>Borrowers owning multiple financed properties require an additional 2 months of the subject properties PITIA in total (not per additional REO)</li> </ul> |
|                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Gift Funds             | <ul style="list-style-type: none"> <li>Permitted on 1-unit properties only, provided borrower meets the minimum contribution.</li> <li>5% primary</li> <li>10% second home</li> <li>100% of down payment and closing cost may come from gifted funds for OO and SH to 75% LTV.</li> <li>Gift funds not permitted to be used towards reserves.</li> </ul>                                                                                                                                                                                   |
| Housing/Rental History                             | <ul style="list-style-type: none"> <li>0x30x12</li> <li>FTHB 0x30x24</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | First Time Home Buyers | <ul style="list-style-type: none"> <li>1-Unit Primary Residence only</li> <li>0x30x24 rental history</li> <li>At least 1 borrower must have a 24-month rental history.</li> <li>Min 7-years seasoning for credit events.</li> <li>When at least one borrower has owned a residential property in the prior 3 years, the FTHB requirements do not apply.</li> </ul>                                                                                                                                                                         |
| Age of Documentation                               | <ul style="list-style-type: none"> <li>Credit - 120 days</li> <li>Income and Assets - 90 days</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Interested Party Contributions                     | <ul style="list-style-type: none"> <li>&lt;= 75% LTV = 9%</li> <li>&gt; 75% = 6%</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | PPP                    | Not permitted.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |

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| Maximum LTV/CLTVs                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                   |             | Standard Doc – Primary Residence                                       |                                                                                                               |                    |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|--------------------|
| Credit Score                                                                                                                                                                                                                                                                                                                                                                                                                                       | Loan Amount                                                                                                                                                                                                                                                                                                       |             | Purchase / Rate & Term                                                 | Debt Consolidation                                                                                            | Cash-Out Refinance |
| 760<br><small>(See Occupancy Restrictions <sup>1</sup>)</small>                                                                                                                                                                                                                                                                                                                                                                                    | <=1,500,000 <sup>1</sup>                                                                                                                                                                                                                                                                                          |             | 90                                                                     | 80                                                                                                            | 80                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 1,500,001 – 2,000,000 <sup>1</sup>                                                                                                                                                                                                                                                                                |             | 90                                                                     | 80                                                                                                            | 80                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,000,001 – 2,500,000                                                                                                                                                                                                                                                                                             |             | 80                                                                     | 75                                                                                                            | 75                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                             |             | 80                                                                     | 75                                                                                                            | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 3,000,001 – 3,500,000                                                                                                                                                                                                                                                                                             |             | 75                                                                     | 70                                                                                                            | 70                 |
| 740<br><small>(See Occupancy Restrictions <sup>2</sup>)</small>                                                                                                                                                                                                                                                                                                                                                                                    | <=1,500,000 <sup>2</sup>                                                                                                                                                                                                                                                                                          |             | 90                                                                     | 80                                                                                                            | 80                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 1,500,001 – 2,000,000 <sup>2</sup>                                                                                                                                                                                                                                                                                |             | 90                                                                     | 80                                                                                                            | 80                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,000,001 – 2,500,000                                                                                                                                                                                                                                                                                             |             | 80                                                                     | 75                                                                                                            | 75                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                             |             | 80                                                                     | 75                                                                                                            | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 3,000,001 – 3,500,000                                                                                                                                                                                                                                                                                             |             | 75                                                                     | 70                                                                                                            | 70                 |
| 720<br><small>(See Occupancy Restrictions <sup>2</sup>)</small>                                                                                                                                                                                                                                                                                                                                                                                    | <=1,500,000 <sup>2</sup>                                                                                                                                                                                                                                                                                          |             | 90                                                                     | 80                                                                                                            | 80                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 1,500,001 – 2,000,000 <sup>2</sup>                                                                                                                                                                                                                                                                                |             | 90                                                                     | 80                                                                                                            | 80                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,000,001 – 2,500,000                                                                                                                                                                                                                                                                                             |             | 80                                                                     | 75                                                                                                            | 75                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                             |             | 80                                                                     | 75                                                                                                            | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 3,000,001 – 3,500,000                                                                                                                                                                                                                                                                                             |             | 75                                                                     | 70                                                                                                            | 70                 |
| 700<br><small>(See Occupancy Restrictions <sup>2</sup>)</small>                                                                                                                                                                                                                                                                                                                                                                                    | <=1,500,000 <sup>2</sup>                                                                                                                                                                                                                                                                                          |             | 85                                                                     | 80                                                                                                            | 80                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                             |             | 80                                                                     | 75                                                                                                            | 75                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,000,001 – 2,500,000                                                                                                                                                                                                                                                                                             |             | 80                                                                     | 75                                                                                                            | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                             |             | 75                                                                     | 70                                                                                                            | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 3,000,001 – 3,500,000                                                                                                                                                                                                                                                                                             |             | 75                                                                     | 70                                                                                                            | 70                 |
| 680                                                                                                                                                                                                                                                                                                                                                                                                                                                | <=1,500,000                                                                                                                                                                                                                                                                                                       |             | 80                                                                     | 75                                                                                                            | 75                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                             |             | 80                                                                     | 75                                                                                                            | 75                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,000,001 – 2,500,000                                                                                                                                                                                                                                                                                             |             | 75                                                                     | 70                                                                                                            | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                             |             | 70                                                                     | 65                                                                                                            | 65                 |
| 660                                                                                                                                                                                                                                                                                                                                                                                                                                                | <=1,000,000                                                                                                                                                                                                                                                                                                       |             | 80                                                                     | 75                                                                                                            | 75                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                             |             | 75                                                                     | 70                                                                                                            | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 1,500,001 – 2,500,000                                                                                                                                                                                                                                                                                             |             | 70                                                                     | 65                                                                                                            | 65                 |
| 640                                                                                                                                                                                                                                                                                                                                                                                                                                                | < = 1,000,000                                                                                                                                                                                                                                                                                                     |             | 75                                                                     | 70                                                                                                            | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                             |             | 75                                                                     | 70                                                                                                            | 65                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                             |             | 70                                                                     | 65                                                                                                            | 60                 |
| Occupancy Restrictions – 2nd Home                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                   |             | Occupancy Restrictions – Investment (Business Purpose) <sup>1, 2</sup> |                                                                                                               |                    |
| 760+                                                                                                                                                                                                                                                                                                                                                                                                                                               | Purchase or Rate & Term<br>Lesser of LTV in above matrix or 85%                                                                                                                                                                                                                                                   |             | 760+                                                                   | Purchase or Rate & Term<br>Lesser of LTV in above matrix or 85%<br>>=80% to 85% LTV = Max \$1.5M <sup>1</sup> |                    |
| 700-759                                                                                                                                                                                                                                                                                                                                                                                                                                            | Purchase or Rate & Term<br>Lesser of LTV in above matrix or 80%                                                                                                                                                                                                                                                   |             | 700-759                                                                | Purchase or Rate & Term<br>Lesser of LTV in above matrix or 80% <sup>2</sup>                                  |                    |
| 700+                                                                                                                                                                                                                                                                                                                                                                                                                                               | Cash Out<br>Lesser of LTV in above matrix or 80%                                                                                                                                                                                                                                                                  |             | 700+                                                                   | Cash Out<br>Lesser of LTV in above matrix or 80% <sup>2</sup>                                                 |                    |
| 640-699                                                                                                                                                                                                                                                                                                                                                                                                                                            | Purchase or Rate & Term<br>Reduce LTV in above matrix by 5%                                                                                                                                                                                                                                                       |             | 640-699                                                                | Purchase or Rate & Term<br>Reduce LTV in above matrix by 5%                                                   |                    |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Cash Out<br>Reduce LTV in above matrix by 5%                                                                                                                                                                                                                                                                      |             |                                                                        | Cash Out<br>Reduce LTV in the above matrix by 5%                                                              |                    |
| Housing History and Housing Event Seasoning Restrictions<br>Past due balloon: considered a delinquency (1x30) not a housing event, only within 180 days of maturity.<br>Ch.13: use filing date if discharged; use dismissal date if dismissed.                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                   |             |                                                                        |                                                                                                               |                    |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 1x30x12                                                                                                                                                                                                                                                                                                           | 2 x 30 x 12 | 0x60x12                                                                | 0x90x12 O/O Only                                                                                              |                    |
| BK/FC/SS/DIL/Mod:                                                                                                                                                                                                                                                                                                                                                                                                                                  | >=48 Mo                                                                                                                                                                                                                                                                                                           | >= 36 Mo    | >= 24 Mo                                                               | >= 12 Mo                                                                                                      |                    |
| Max LTV/CLTV:                                                                                                                                                                                                                                                                                                                                                                                                                                      | 90                                                                                                                                                                                                                                                                                                                | 80          | 70                                                                     | 65                                                                                                            |                    |
| Max LTV Cash-out                                                                                                                                                                                                                                                                                                                                                                                                                                   | 80                                                                                                                                                                                                                                                                                                                | 75          | 70                                                                     | NA                                                                                                            |                    |
| Max Loan Amt:                                                                                                                                                                                                                                                                                                                                                                                                                                      | \$3,500,000                                                                                                                                                                                                                                                                                                       | \$3,000,000 | \$2,000,000                                                            | \$2,000,000                                                                                                   |                    |
| Geographic Restrictions                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                   |             |                                                                        |                                                                                                               |                    |
| <ul style="list-style-type: none"><li>IL counties: Cook, Kane, Peoria and Will: Not permitted for OO and SH – Does not apply to Correspondents.</li><li>FL: Non-Permanent Resident Aliens from China are ineligible</li><li>HI: Non-licensed State</li><li>MD: Baltimore City Row Homes are ineligible.</li><li>NY: STRs in the 5 NYC Boroughs are ineligible; No 5/6 ARMs on OO loans below the FNMA limit; Subprime - Fixed Rate only.</li></ul> |                                                                                                                                                                                                                                                                                                                   |             |                                                                        |                                                                                                               |                    |
| General Requirements – Select Prime – Full Doc                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                   |             |                                                                        |                                                                                                               |                    |
| Product Type                                                                                                                                                                                                                                                                                                                                                                                                                                       | <ul style="list-style-type: none"><li>Fixed Rate Fully Amortizing: 40-Yr, 30-Yr, 15-Yr. Fixed Rate I/O 40-yr</li><li>ARMs Fully Amortizing: 5/6 ARM 30-Yr. ARMs I/O: 5/6 ARM 30-Yr Term, 5/6 ARM 40-Yr Term</li><li>ARMs not available in NY on OO loans below the FNMA loan limit; not available in MS</li></ul> |             |                                                                        |                                                                                                               |                    |
| Interest Only                                                                                                                                                                                                                                                                                                                                                                                                                                      | <ul style="list-style-type: none"><li>Min Credit Score: 680</li><li>Max LTV: 80%</li><li>10 year I/O period</li><li>Must qualify off fully amortizing payment</li></ul>                                                                                                                                           |             |                                                                        |                                                                                                               |                    |
| Loan Amounts                                                                                                                                                                                                                                                                                                                                                                                                                                       | <ul style="list-style-type: none"><li>Min: \$125,000</li><li>Max: \$3,500,000</li><li>Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV</li></ul>                                                                                                                                                  |             |                                                                        |                                                                                                               |                    |



|                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Occupancy                                                                                                                                                                                                                                                                                                                                                                                             | <ul style="list-style-type: none"><li>Primary, Second Home; and</li><li>Investment Property (Business Purpose) See Occupancy Restrictions <sup>1, 2</sup></li></ul>                                                                                                                                                                                                                                                                                                                                                                 |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| Loan Purpose                                                                                                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"><li>Purchase, Rate/Term, Debt Consolidation and Cash Out</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| Cash Out                                                                                                                                                                                                                                                                                                                                                                                              | <ul style="list-style-type: none"><li>Minimum of six (6) months seasoning from most recent transaction. See guide for details.</li><li>Max cash-out (defined as cash in hand):<ul style="list-style-type: none"><li>If LTV &lt;= 60% = Unlimited</li><li>If LTV &gt; 60% = Max \$1,000,000 or unlimited with 18 months reserves exclusive of cash back.<ul style="list-style-type: none"><li>If Express/DU approved, may waive the 18 months reserves for loans &lt; 2M.</li></ul></li></ul></li><li>Condos – Max 75% LTV</li></ul> |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| Debt Consolidation                                                                                                                                                                                                                                                                                                                                                                                    | <div><ul style="list-style-type: none"><li>Primary Residence only</li><li>Max \$5000 cash in hand</li><li>Minimum 3 months reserves after closing (no additional reserves required for other loan features)</li><li>Non-mtg debt being paid max \$250K</li></ul><ul style="list-style-type: none"><li>Non-occupant co-borrowers not permitted.</li><li>Consumer debt max 0x60x6</li><li>Total debt savings 10% or greater</li><li>Recoup closing costs in 60 months.</li></ul></div>                                                |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| 2-1 Temporary Buydown                                                                                                                                                                                                                                                                                                                                                                                 | <div><ul style="list-style-type: none"><li>Purchase Only</li><li>Minimum Score 680</li><li>Max LTV 80%</li><li>30 year Fixed Only</li><li>Qualify off Note Rate</li></ul><ul style="list-style-type: none"><li>O/O, 2<sup>nd</sup> Home and Investment Properties.</li><li>See Guides for Max Interested Party Contribution Limits.</li></ul><ul style="list-style-type: none"><li>Seller or Builder Funded Only</li><li>Lender Paid or 3rd Party Buydowns are permitted for Correspondent Clients only.</li></ul></div>            |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| Appraisals                                                                                                                                                                                                                                                                                                                                                                                            | <ul style="list-style-type: none"><li>FNMA Form 1004, 1025, 1073 with interior/exterior inspection.</li><li>2<sup>nd</sup> Appraisal required for loans &gt; \$2,000,000.</li><li>Appraisal Review Product to be ordered on all loans with an SSR over 2.5, with the exception of those with a full second appraisal.</li></ul>                                                                                                                                                                                                     |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| Property Type                                                                                                                                                                                                                                                                                                                                                                                         | <ul style="list-style-type: none"><li>Single Family, Attached, Detached, Condominiums, 2-4 Unit, Condotels</li><li>SFR with &gt;1 ADU or 2-4 units with 1 ADU are permitted if subject is in a municipality that allows. Appraiser must specifically confirm compliance with local regulations.</li></ul>                                                                                                                                                                                                                           |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| Condo and 2-4 Unit LTV Limits                                                                                                                                                                                                                                                                                                                                                                         | <ul style="list-style-type: none"><li>Condos – Warrantable / Non-Warrantable<ul style="list-style-type: none"><li>Purchase &amp; Rate/Term: Max 85% LTV</li><li>Cash-out: 75% LTV</li></ul></li><li>2-4 Units: Max 80% LTV</li></ul>                                                                                                                                                                                                                                                                                                |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| Condotel                                                                                                                                                                                                                                                                                                                                                                                              | <u>2<sup>nd</sup> Home &amp; NOO Purchase or Rate/Term</u> <ul style="list-style-type: none"><li>700+ Max 75%LTV</li><li>680-699 Max 70% LTV</li></ul>                                                                                                                                                                                                                                                                                                                                                                              |                                            | <u>2<sup>nd</sup> Home &amp; NOO Cash Out</u> <ul style="list-style-type: none"><li>700+ Max 65% LTV</li><li>680-699 Max 60% LTV</li></ul>                                                                                                                                                                                                                                                 |
|                                                                                                                                                                                                                                                                                                                                                                                                       | <ul style="list-style-type: none"><li>Max Loan Amount \$1,500,000</li><li>Minimum 6 months reserves</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                       |                                            | <ul style="list-style-type: none"><li>Must have full kitchen &amp; 1 separate bedroom.</li><li>Must be in a resort area or affiliated with a national hotel chain.</li></ul>                                                                                                                                                                                                               |
| Declining Markets                                                                                                                                                                                                                                                                                                                                                                                     | <ul style="list-style-type: none"><li>Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when &gt; 65% LTV.</li></ul>                                                                                                                                                                                                                                                                                                                                                                 |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| Rural Property                                                                                                                                                                                                                                                                                                                                                                                        | <ul style="list-style-type: none"><li>Rural properties (as defined in the Guides) permitted for OO, up to 80% LTV; max 20 acres.</li><li>2nd Home and NOO (non-DSCR) may be considered when the subject has &lt;= 2 acres up to a max LTV of 75%.</li></ul>                                                                                                                                                                                                                                                                         |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| Income Requirements - Select Prime – Full Doc                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| <ul style="list-style-type: none"><li>Wage/Salary: Paystubs, W-2 or e-VOE, 2 Years or 1 Year of Tax Returns, IRS Form 4506</li><li>Self-Employed: 2 Years or 1 Year of Personal and Business Tax Returns, YTD P&amp;L, IRS Form 4506, 2 months of most recent bank statements</li><li>Verbal VOE required within 10-days of Note Date for wage earners; 30 days for self-employed borrowers</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| Underwriting Requirements - Select Prime – Full Doc                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |
| Credit Score                                                                                                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"><li>Middle of 3 scores or lower of 2 for Primary Income- Earner.</li><li>Additional borrowers must have a minimum score of 540.</li></ul>                                                                                                                                                                                                                                                                                                                                                         | DTI Requirements                           | <ul style="list-style-type: none"><li>Max 50%</li><li>40 Yr Fixed Must Qualify as a 30-Yr at &lt;=55% DTI.</li><li>55% DTI with the following restrictions:<ul style="list-style-type: none"><li>Min FICO 680</li><li>0x30x12</li><li>48 mos since a housing event</li><li>Max loan amount \$2.5M</li><li>Not permitted with a 40-yr term</li></ul></li></ul>                              |
| Tradelines                                                                                                                                                                                                                                                                                                                                                                                            | <ul style="list-style-type: none"><li>Primary wage earner has 3 scores; or</li><li>2 open and reporting 24-months; or</li><li>3 open and reporting 12-months; or</li><li>24-months mortgage rating reporting on credit</li></ul>                                                                                                                                                                                                                                                                                                    | FTHB                                       | <ul style="list-style-type: none"><li>Permitted to a maximum loan size of \$1.5m on O/O, 2nd Home, and NOO.</li></ul>                                                                                                                                                                                                                                                                      |
|                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Residual OO and 2 <sup>nd</sup> Homes only | <ul style="list-style-type: none"><li>Defined as Gross Monthly Income – Total Monthly Obligations.</li><li>Requirement based on # in household.</li><li>Applies to HPML loans or when the DTI &gt; 43% on OO and 2nd homes only:<ul style="list-style-type: none"><li>1 person = \$1,500</li><li>2 persons = \$2,500</li><li>Add \$150 per additional household member</li></ul></li></ul> |
| Assets                                                                                                                                                                                                                                                                                                                                                                                                | <ul style="list-style-type: none"><li>30-day asset verification required</li><li>Deposits &gt; 50% of gross income must be documented on purchases</li></ul>                                                                                                                                                                                                                                                                                                                                                                        |                                            |                                                                                                                                                                                                                                                                                                                                                                                            |

|                                                                                             |                                                                                                                                                                                                                                                                                                                                                |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                             |
|---------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|
| Gift Funds                                                                                  | Gift funds permitted provided borrower meets minimum contribution: <ul style="list-style-type: none"><li>• 5% primary</li><li>• 10% second home/investment</li><li>• Gift funds not permitted to be used towards reserves.</li><li>• 100% of down payment and closing cost may come from gifted funds for OO and SH to a max of 80%.</li></ul> | Reserves                                                              | <ul style="list-style-type: none"><li>• &lt;= \$500,000 = 3 months PITIA w/LTV &lt;= 80%</li><li>• &lt;= \$500,000 = 6 months PITIA w/LTV &gt; 80%</li><li>• &gt; \$500,000 to \$1,500,000 = 6 months PITIA</li><li>• &gt; \$1,500,000 to \$2,500,000 = 9 months PITIA</li><li>• &gt; \$2,500,000 to \$3,500,000 = 12 months PITIA</li><li>• Cash-out proceeds may be used to satisfy reserves.</li><li>• Debt consolidation = 3 months PITIA</li></ul> |                             |
| Age of Documentation                                                                        | <ul style="list-style-type: none"><li>• Credit - 120 days</li><li>• Income and Assets - 90 days</li></ul>                                                                                                                                                                                                                                      | Prepayment Penalty                                                    | <ul style="list-style-type: none"><li>• Required on Investment Properties when permitted.</li><li>• See PPP Requirements Matrix.</li><li>• No PPP – Correspondent Only</li></ul>                                                                                                                                                                                                                                                                        |                             |
| Interested Party Contributions                                                              | Primary and 2 <sup>nd</sup> Homes <ul style="list-style-type: none"><li>• &lt;= 75% LTV = 9%</li><li>• &gt; 75% = 6%</li></ul>                                                                                                                                                                                                                 | Investment <ul style="list-style-type: none"><li>• ALL = 6%</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                             |
| Select Prime Express - Full Doc<br>Follow standard guidelines where silent in this section. |                                                                                                                                                                                                                                                                                                                                                |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                             |
| Underwriting Method                                                                         | <ul style="list-style-type: none"><li>• DU Approve Eligible and Approve/Ineligible</li><li>• Ineligibility only due to loan size or feature, such as IO.</li></ul>                                                                                                                                                                             | Income                                                                | <ul style="list-style-type: none"><li>• Follow program documentation requirements.</li><li>• Follow program DTI restrictions.</li><li>• Transcripts required for number of years of income used to qualify on Full Doc loans.</li></ul>                                                                                                                                                                                                                 |                             |
| Credit                                                                                      | <ul style="list-style-type: none"><li>• Follow AUS with the exception of housing history must be 0x30x12 and no extenuating circumstances for BK/Housing event</li></ul>                                                                                                                                                                       | Reserves                                                              | <ul style="list-style-type: none"><li>• LTVs &gt; 85%:<ul style="list-style-type: none"><li>• Up to \$1.5M with 760+ Score = 6 months PITIA</li></ul></li><li>• LTV &lt;= 85%:<ul style="list-style-type: none"><li>• Loans &lt;= \$2,000,000 follow DU Findings</li><li>• Loans &gt; \$2,000,000 must meet product reserve requirements.</li></ul></li></ul>                                                                                           |                             |
| LTV/Score Eligibility                                                                       | <ul style="list-style-type: none"><li>• 740-759 Score &gt; 85% LTV not eligible; follow standard program requirements</li></ul>                                                                                                                                                                                                                |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                             |
| Non-Occupant Co-Borrower                                                                    | <ul style="list-style-type: none"><li>• Ratios for the Occupying Borrower and Non-Occupant Co-Borrower may be blended.</li></ul>                                                                                                                                                                                                               | Appraisal                                                             | <ul style="list-style-type: none"><li>• Reduced Condo Reviews not permitted.</li></ul>                                                                                                                                                                                                                                                                                                                                                                  |                             |
| ITIN – FULL DOC MATRIX                                                                      |                                                                                                                                                                                                                                                                                                                                                |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                             |
| Maximum LTV/CLTVs                                                                           |                                                                                                                                                                                                                                                                                                                                                | Primary Residence                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                             |
| Credit Score                                                                                | Loan Amount                                                                                                                                                                                                                                                                                                                                    | Purchase & R/T                                                        | Cash-Out                                                                                                                                                                                                                                                                                                                                                                                                                                                | Number of Units             |
| 740                                                                                         | 125,000 – 1,500,000                                                                                                                                                                                                                                                                                                                            | 85*                                                                   | 80                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 1-Unit<br>SFR/PUD, Condo*   |
|                                                                                             | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                          | 80                                                                    | 80                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
|                                                                                             | 2,000,001 - 2,500,000                                                                                                                                                                                                                                                                                                                          | 75                                                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| 720                                                                                         | 125,000 – 1,500,000                                                                                                                                                                                                                                                                                                                            | 85*                                                                   | 80                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
|                                                                                             | 1,500,001 - 2,000,000                                                                                                                                                                                                                                                                                                                          | 80                                                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
|                                                                                             | 2,000,001 – 2,500,000                                                                                                                                                                                                                                                                                                                          | 60                                                                    | 60                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| 700                                                                                         | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                            | 85*                                                                   | 80                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
|                                                                                             | 1,500,001 - 2,000,000                                                                                                                                                                                                                                                                                                                          | 70                                                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| 660                                                                                         | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                            | 80                                                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| 640                                                                                         | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                            | 75                                                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| 720                                                                                         | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                            | 80                                                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 2-4-Units<br>Family Housing |
|                                                                                             | 1,500,001 - 2,000,000                                                                                                                                                                                                                                                                                                                          | 75                                                                    | 60                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| 700                                                                                         | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                            | 80                                                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
|                                                                                             | 1,500,001 - 2,000,000                                                                                                                                                                                                                                                                                                                          | 70                                                                    | 60                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| 680                                                                                         | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                            | 75                                                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| Notes                                                                                       | <ul style="list-style-type: none"><li>• SFR, PUD, Townhouse: Max 85% LTV</li><li>• Warrantable Condo* Projects: Max 80% LTV</li><li>• Non-Warrantable Projects: Max 75% LTV</li></ul>                                                                                                                                                          |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                             |
| Maximum LTV/CLTVs                                                                           |                                                                                                                                                                                                                                                                                                                                                | Second Home                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                             |
| Credit Score                                                                                | Loan Amount                                                                                                                                                                                                                                                                                                                                    | Purchase & R/T                                                        | Cash-Out                                                                                                                                                                                                                                                                                                                                                                                                                                                | Number of Units             |
| 720                                                                                         | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                            | 75                                                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 1-Unit<br>SFR, Condo, PUD   |
|                                                                                             | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                          | 75                                                                    | 60                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| 700                                                                                         | 125,000 – 1,500,000                                                                                                                                                                                                                                                                                                                            | 75                                                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
|                                                                                             | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                          | 70                                                                    | 60                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| 660-699                                                                                     | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                            | 70                                                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| Notes                                                                                       | <ul style="list-style-type: none"><li>• Second Homes: 2-4 Unit Properties are Ineligible</li><li>• Non-Warrantable Projects: Max 75% LTV</li></ul>                                                                                                                                                                                             |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                             |
| Maximum LTV/CLTVs                                                                           |                                                                                                                                                                                                                                                                                                                                                | Investment Property (Business Purpose)                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                             |
| Credit Score                                                                                | Loan Amount                                                                                                                                                                                                                                                                                                                                    | Purchase & R/T                                                        | Cash-Out                                                                                                                                                                                                                                                                                                                                                                                                                                                | Number of Units             |
| 700                                                                                         | 125,000 – 1,500,000                                                                                                                                                                                                                                                                                                                            | 75                                                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 1-4-Units, Condo, PUD       |
|                                                                                             | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                          | 75                                                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
|                                                                                             | 2,000,0001 – 2,500,000                                                                                                                                                                                                                                                                                                                         | 70                                                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| 680                                                                                         | 125,000 – 1,500,000                                                                                                                                                                                                                                                                                                                            | 70                                                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
|                                                                                             | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                          | 70                                                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
|                                                                                             | 2,000,0001 – 2,500,000                                                                                                                                                                                                                                                                                                                         | 65                                                                    | 60                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
| 660                                                                                         | 125,000 – 1,500,000                                                                                                                                                                                                                                                                                                                            | 70                                                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                             |
|                                                                                             | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                          | 60                                                                    | N/A                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                             |
| Notes                                                                                       | <ul style="list-style-type: none"><li>• Non-Warrantable Condos: Max 75% LTV</li></ul>                                                                                                                                                                                                                                                          |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                             |



| ITIN – Full Doc – Overlays |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| ITIN Overlays              | <ul style="list-style-type: none"><li>• Max Loan Amount: \$2,500,000</li><li>• Eligible Products/Terms:<ul style="list-style-type: none"><li>○ 5/6 SOFR ARM 30-Yr Term</li><li>○ 5/6 I/O SOFR ARM 30-Yr</li><li>○ 30-Yr FRM Full Am &amp; I/O</li><li>○ 15-Year Fixed Fully Amortizing</li></ul></li><li>• I/O: ARMs and 30-Yr FRM= 30-yr Term only</li><li>• Credit Score &amp; Tradeline Requirements:<ul style="list-style-type: none"><li>○ A min of 2 credit scores is required.</li><li>○ 1 score is permitted when the credit report has sufficient tradeline activity, defined as follows:<ul style="list-style-type: none"><li>• 3 trades reporting for 12+ months, OR</li><li>• 2 trades reporting for 24+ months, OR</li><li>• 2 year mortgage history.</li></ul></li></ul></li><li>• Middle of 3 or lower of 2 scores for the primary wage earner is considered the qualifying score. When only one score is present, that score is considered the qualifying score.</li><li>• Tradelines requirements are waived with three (3) scores.<ul style="list-style-type: none"><li>○ Spouses may combine trades.</li><li>○ If no full housing history and has 3 scores, OR when only 2 scores are available see required tradeline activity above.</li></ul></li><li>• Housing/Rental History: 0x30x12</li><li>• Max Cash-Out:<ul style="list-style-type: none"><li>• If LTV &gt; 60% = Max \$1.0M (Not eligible with DU option for unlimited cash-out with 18 months additional reserves).</li></ul></li><li>• Income Doc Types:<ul style="list-style-type: none"><li>○ Wage Earner: 1-2-yr WVOE, 1-2-yr 1040s plus transcripts; and VVOE within 10 days from closing.</li><li>○ Not eligible for Express (DU)</li><li>○ Self-Employed Borrower: 1-2-yr 1040s plus transcripts; YTD P&amp;L, plus 2-mos bank statements good thru the P&amp;L period end date, transcripts; K-1s and Schedule E for business entities prior 1-2 yrs is &gt;=25% ownership. Business Verification required within 30 days from closing.</li></ul></li><li>• Gift Funds:<ul style="list-style-type: none"><li>○ Gift funds not permitted on NOO.</li></ul></li><li>• Property Restrictions:<ul style="list-style-type: none"><li>○ Condo Non-Warrantable – Max 75% LTV</li></ul></li><li>• Escrow Waiver:<ul style="list-style-type: none"><li>○ Not permitted.</li></ul></li></ul> |

SELECT PRIME – ALT DOC

| Maximum LTV/CLTVs                                                                                                                                                                                        |                                                                                                                                                                                                                                                               |                                                                        | Alt Doc – Primary Residence                                                                                              |                    |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|--------------------|
| Credit Score                                                                                                                                                                                             | Loan Amount                                                                                                                                                                                                                                                   | Purchase/Rate and Term                                                 | Debt Consolidation                                                                                                       | Cash-Out Refinance |
| 760<br>(See Occupancy Restrictions <sup>1</sup> )                                                                                                                                                        | <=1,500,000 <sup>1</sup>                                                                                                                                                                                                                                      | 90                                                                     | 80                                                                                                                       | 80                 |
|                                                                                                                                                                                                          | 1,500,001 – 2,000,000 <sup>1</sup>                                                                                                                                                                                                                            | 90                                                                     | 80                                                                                                                       | 80                 |
|                                                                                                                                                                                                          | 2,000,001 – 2,500,000                                                                                                                                                                                                                                         | 80                                                                     | 75                                                                                                                       | 75                 |
|                                                                                                                                                                                                          | 2,500,001 – 3,000,000                                                                                                                                                                                                                                         | 80                                                                     | 75                                                                                                                       | 70                 |
|                                                                                                                                                                                                          | 3,000,001 – 3,500,000                                                                                                                                                                                                                                         | 75                                                                     | 70                                                                                                                       | 70                 |
| 740<br>(See Occupancy Restrictions <sup>2</sup> )                                                                                                                                                        | <= \$1,000,000 <sup>2</sup>                                                                                                                                                                                                                                   | 90                                                                     | 80                                                                                                                       | 80                 |
|                                                                                                                                                                                                          | <=1,500,000 <sup>2</sup>                                                                                                                                                                                                                                      | 90                                                                     | 80                                                                                                                       | 80                 |
|                                                                                                                                                                                                          | 1,500,001 – 2,000,000 <sup>2</sup>                                                                                                                                                                                                                            | 90                                                                     | 80                                                                                                                       | 80                 |
|                                                                                                                                                                                                          | 2,000,001 – 2,500,000                                                                                                                                                                                                                                         | 80                                                                     | 75                                                                                                                       | 75                 |
|                                                                                                                                                                                                          | 2,500,001 – 3,000,000                                                                                                                                                                                                                                         | 80                                                                     | 75                                                                                                                       | 70                 |
| 720<br>(See Occupancy Restrictions <sup>2</sup> )                                                                                                                                                        | 3,000,001 – 3,500,000                                                                                                                                                                                                                                         | 75                                                                     | 70                                                                                                                       | 70                 |
|                                                                                                                                                                                                          | <=1,500,000 <sup>2</sup>                                                                                                                                                                                                                                      | 90                                                                     | 80                                                                                                                       | 80                 |
|                                                                                                                                                                                                          | 1,500,001 – 2,000,000 <sup>2</sup>                                                                                                                                                                                                                            | 90                                                                     | 80                                                                                                                       | 80                 |
|                                                                                                                                                                                                          | 2,000,001 – 2,500,000                                                                                                                                                                                                                                         | 80                                                                     | 75                                                                                                                       | 75                 |
|                                                                                                                                                                                                          | 2,500,001 – 3,000,000                                                                                                                                                                                                                                         | 80                                                                     | 75                                                                                                                       | 70                 |
| 700<br>(See Occupancy Restrictions <sup>2</sup> )                                                                                                                                                        | 3,000,001 – 3,500,000                                                                                                                                                                                                                                         | 75                                                                     | 70                                                                                                                       | 70                 |
|                                                                                                                                                                                                          | <=1,500,000 <sup>2</sup>                                                                                                                                                                                                                                      | 85                                                                     | 80                                                                                                                       | 80                 |
|                                                                                                                                                                                                          | 1,500,001 – 2,000,000                                                                                                                                                                                                                                         | 80                                                                     | 75                                                                                                                       | 75                 |
|                                                                                                                                                                                                          | 2,000,001 – 2,500,000                                                                                                                                                                                                                                         | 80                                                                     | 75                                                                                                                       | 70                 |
|                                                                                                                                                                                                          | 2,500,001 – 3,000,000                                                                                                                                                                                                                                         | 75                                                                     | 70                                                                                                                       | 70                 |
| 680                                                                                                                                                                                                      | 3,000,001 – 3,500,000                                                                                                                                                                                                                                         | 75                                                                     | 70                                                                                                                       | 70                 |
|                                                                                                                                                                                                          | <=1,500,000                                                                                                                                                                                                                                                   | 80                                                                     | 75                                                                                                                       | 75                 |
|                                                                                                                                                                                                          | 1,500,001 – 2,000,000                                                                                                                                                                                                                                         | 80                                                                     | 75                                                                                                                       | 75                 |
|                                                                                                                                                                                                          | 2,000,001 – 2,500,000                                                                                                                                                                                                                                         | 75                                                                     | 70                                                                                                                       | 70                 |
| 660                                                                                                                                                                                                      | 2,500,001 – 3,000,000                                                                                                                                                                                                                                         | 70                                                                     | 65                                                                                                                       | 65                 |
|                                                                                                                                                                                                          | <=1,000,000                                                                                                                                                                                                                                                   | 80                                                                     | 75                                                                                                                       | 75                 |
|                                                                                                                                                                                                          | 1,000,001 – 1,500,000                                                                                                                                                                                                                                         | 75                                                                     | 70                                                                                                                       | 70                 |
| 640                                                                                                                                                                                                      | 1,500,001 – 2,500,000                                                                                                                                                                                                                                         | 70                                                                     | 65                                                                                                                       | 65                 |
|                                                                                                                                                                                                          | <= 1,000,000                                                                                                                                                                                                                                                  | 75                                                                     | 70                                                                                                                       | 70                 |
|                                                                                                                                                                                                          | 1,000,001 – 1,500,000                                                                                                                                                                                                                                         | 75                                                                     | 70                                                                                                                       | 65                 |
|                                                                                                                                                                                                          | 1,500,001 – 2,000,000                                                                                                                                                                                                                                         | 70                                                                     | 65                                                                                                                       | 60                 |
| Occupancy Restrictions – 2 <sup>nd</sup> Home                                                                                                                                                            |                                                                                                                                                                                                                                                               | Occupancy Restrictions – Investment (Business Purpose) <sup>1, 2</sup> |                                                                                                                          |                    |
| 760+                                                                                                                                                                                                     | <i>Purchase or Rate &amp; Term</i><br>Lesser of LTV in above matrix or 85%                                                                                                                                                                                    | 760+                                                                   | <i>Purchase or Rate &amp; Term</i><br>Lesser of LTV in above matrix or 85%<br>>=80% to 85% LTV = Max \$1.5M <sup>1</sup> |                    |
| 700-759                                                                                                                                                                                                  | <i>Purchase or Rate &amp; Term</i><br>Lesser of LTV in above matrix or 80%                                                                                                                                                                                    | 700-759                                                                | <i>Purchase or Rate &amp; Term</i><br>Lesser of LTV in above matrix or 80% <sup>2</sup>                                  |                    |
| 700+                                                                                                                                                                                                     | <i>Cash Out</i><br>Lesser of LTV in above matrix or 80%                                                                                                                                                                                                       | 700+                                                                   | <i>Cash Out</i><br>Lesser of LTV in above matrix or 80% <sup>2</sup>                                                     |                    |
| 640-699                                                                                                                                                                                                  | <i>Purchase or Rate &amp; Term</i><br>Reduce LTV in above matrix by 5%                                                                                                                                                                                        | 640-699                                                                | <i>Purchase or Rate &amp; Term</i><br>Reduce LTV in above matrix by 5%                                                   |                    |
|                                                                                                                                                                                                          | <i>Cash Out</i><br>Reduce LTV in above matrix by 5%                                                                                                                                                                                                           |                                                                        | <i>Cash Out</i><br>Reduce LTV in above matrix by 5%                                                                      |                    |
| Housing History and Housing Event Seasoning Restrictions                                                                                                                                                 |                                                                                                                                                                                                                                                               |                                                                        |                                                                                                                          |                    |
| Past due balloon: considered a delinquency (1x30) not a housing event, only within 180 days of maturity.                                                                                                 |                                                                                                                                                                                                                                                               |                                                                        |                                                                                                                          |                    |
| Ch.13: use filing date if discharged; use dismissal date if dismissed.                                                                                                                                   |                                                                                                                                                                                                                                                               |                                                                        |                                                                                                                          |                    |
| Housing History                                                                                                                                                                                          | 1x30x12                                                                                                                                                                                                                                                       | 2 x 30 x 12                                                            | 0x60x12                                                                                                                  | 0x90x12 O/O Only   |
| BK/FC/SS/DIL/Mod:                                                                                                                                                                                        | >=48 Mo                                                                                                                                                                                                                                                       | >= 36 Mo                                                               | >= 24 Mo                                                                                                                 | >= 12 Mo           |
| Max LTV/CLTV:                                                                                                                                                                                            | 90                                                                                                                                                                                                                                                            | 80                                                                     | 70                                                                                                                       | 65                 |
| Max LTV Cash-out                                                                                                                                                                                         | 80                                                                                                                                                                                                                                                            | 75                                                                     | 70                                                                                                                       | NA                 |
| Max Loan Amt:                                                                                                                                                                                            | \$3,500,000                                                                                                                                                                                                                                                   | \$3,000,000                                                            | \$2,000,000                                                                                                              | \$2,000,000        |
| Geographic Restrictions                                                                                                                                                                                  |                                                                                                                                                                                                                                                               |                                                                        |                                                                                                                          |                    |
| • IL counties: Cook, Kane, Peoria and Will: Not permitted for OO and SH – Does not apply to Correspondents.<br>• FL: Non-Permanent Resident Aliens from China are ineligible<br>• HI: Non-licensed State |                                                                                                                                                                                                                                                               |                                                                        |                                                                                                                          |                    |
| • MD: Baltimore City Row Homes are ineligible.<br>• NY: STRs in the 5 NYC Boroughs are ineligible; No 5/6 ARMs on OO loans below the FNMA limit; Subprime - Fixed Rate only.                             |                                                                                                                                                                                                                                                               |                                                                        |                                                                                                                          |                    |
| General Requirements – Select Prime – Alt Doc                                                                                                                                                            |                                                                                                                                                                                                                                                               |                                                                        |                                                                                                                          |                    |
| Product Type                                                                                                                                                                                             | • Fixed Rate Fully Amortizing: 40-Yr, 30-Yr, 15-Yr. Fixed Rate I/O 40-yr<br>• ARMs Fully Amortizing: 5/6 ARM 30-Yr. ARMs I/O: 5/6 ARM 30-Yr Term, 5/6 ARM 40-Yr Term<br>• ARMs not available in NY on OO loans below the FNMA loan limit; not available in MS |                                                                        |                                                                                                                          |                    |
| Interest Only                                                                                                                                                                                            | • Min Credit Score: 680<br>• Max LTV: 80%<br>• 10 year I/O period<br>• Must qualify off fully amortizing payment                                                                                                                                              |                                                                        |                                                                                                                          |                    |
| Loan Amounts                                                                                                                                                                                             | • Min: \$125,000 no exceptions<br>• Max: \$3,500,000<br>• Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV                                                                                                                                    |                                                                        |                                                                                                                          |                    |

|                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
|----------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Occupancy                                    | <ul style="list-style-type: none"><li>Primary, Second Home;</li><li>Investment Property (Business Purpose) See Occupancy Restrictions <sup>1, 2</sup></li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| Loan Purpose                                 | <ul style="list-style-type: none"><li>Purchase, Rate/Term, and Cash Out</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| Cash Out                                     | <ul style="list-style-type: none"><li>Minimum of 6 (six) months seasoning from most recent transaction. See guide for details.</li><li>Condos – Max 75% LTV</li></ul> Max cash-out (defined as cash in hand): <ul style="list-style-type: none"><li>LTV &lt;= 60% = Unlimited</li><li>LTV &gt; 60% = Max \$1,000,000 or unlimited with 18 months reserves exclusive of cash back; OR</li><li>If Express (DU) approved, may waive the 18 months reserves for loans &lt; \$2M.</li></ul>                                                                                                                                                                                             |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| Debt Consolidation                           | <ul style="list-style-type: none"><li>Primary Residence only</li><li>Max \$5,000 cash in hand</li><li>3 months reserves after closing (no additional reserves required for other loan features)</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"><li>Non-mtg debt being paid max \$250K.</li><li>Non-occupant co-borrowers not permitted.</li><li>Consumer debt max 0x60x24</li><li>Total debt savings 10% or greater recoup closing costs in 60 months.</li></ul> |                                                                                                                                                                       |
| 2-1 Temporary Buydown                        | <ul style="list-style-type: none"><li>Purchase Only</li><li>Minimum Score 680</li><li>Max LTV 80%</li><li>30 year Fixed Only</li><li>Qualify off Note Rate</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | <ul style="list-style-type: none"><li>O/O, 2<sup>nd</sup> Home and Investment Properties.</li><li>See Guides for Max Interested Party Contribution Limits.</li></ul>                                                                                | <ul style="list-style-type: none"><li>Seller or Builder Funded Only</li><li>Lender Paid or 3rd Party Buydowns are permitted for Correspondent Clients only.</li></ul> |
| Appraisals                                   | <ul style="list-style-type: none"><li>FNMA Form 1004, 1025, 1073 with interior/exterior inspection.</li><li>2<sup>nd</sup> Appraisal required for loans &gt; \$2,000,000.</li><li>Appraisal Review Product to be ordered on all loans with an SSR over 2.5 with the exception of those with a full second appraisal.</li></ul>                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| Property Type                                | <ul style="list-style-type: none"><li>Single Family, Attached, Detached, Condominiums, 2-4 Units, Condotel</li><li>SFR with &gt;1 ADU or 2-4 units with 1 ADU are permitted if subject is in a municipality that allows. Appraiser must specifically confirm compliance with local regulations.</li></ul>                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| Condo and 2-4 Unit LTV Limits                | <ul style="list-style-type: none"><li>Condos – Warrantable / Non-Warrantable<ul style="list-style-type: none"><li>Purchase &amp; Rate/Term: Max 85% LTV</li><li>Cash-out: 75% LTV</li></ul></li><li>2-4 Units: Max 80% LTV</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| Condotel                                     | <u>2<sup>nd</sup> Home &amp; NOO Purchase or Rate/Term</u> <ul style="list-style-type: none"><li>700+ Max 75%LTV</li><li>680-699 Max 70% LTV</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | <u>2<sup>nd</sup> Home &amp; NOO Cash Out</u> <ul style="list-style-type: none"><li>700+ Max 65% LTV</li><li>680-699 Max 60% LTV</li></ul>                                                                                                          |                                                                                                                                                                       |
|                                              | <ul style="list-style-type: none"><li>Max Loan Amount \$1,500,000</li><li>Minimum 6 months reserves</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | <ul style="list-style-type: none"><li>Must have full kitchen &amp; 1 separate bedroom.</li><li>Must be in a resort area or affiliated with a national hotel chain</li></ul>                                                                         |                                                                                                                                                                       |
| Declining Markets                            | <ul style="list-style-type: none"><li>Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when &gt;65% LTV.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| Rural Property                               | <ul style="list-style-type: none"><li>Rural properties (as defined in the Guides) permitted for OO, up to 80% LTV; max 20 acres.</li><li>2nd Home and NOO (non-DSCR) may be considered when the subject has &lt;= 2 acres up to a max LTV of 75%.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| Income Requirements - Select Prime – Alt Doc |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| VVOE/ Business Verification                  | <ul style="list-style-type: none"><li>Verbal VOE required within 10-days of Note Date for wage earners; 30 days for self-employed borrowers</li><li>Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history (see below for options with a minimum of one year self-employment)</li></ul>                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| Personal Bank Statements                     | <ul style="list-style-type: none"><li>24 or 12-months of Personal and 2-months of business bank statements.</li><li>Qualifying income is determined by the total eligible deposits from the 24 or 12-months of personal statements divided by the number of statements.</li><li>The business bank statements must reflect business activity and transfers to the personal account.</li></ul>                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| Business/Co-Mingled Bank Statements:         | <ul style="list-style-type: none"><li>24 or 12-months of business bank statements. Qualifying income is determined by ONE of the following analysis methods:<ul style="list-style-type: none"><li>Fixed Expense Ratio (50%); OR</li><li>Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR</li><li>3rd party prepared Profit &amp; Loss Statement (CPA or EA).</li></ul></li></ul>                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| P&L and 2 Months Bank Statements             | <ul style="list-style-type: none"><li>24 or 12-month P&amp;L, prepared by CPA or EA or PTIN licensed Tax Preparer.</li><li>Minimum of 2-months business bank statements</li><li>Minimum 760 score required for &gt; 85% LTV to Max \$1.5M</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| P&L Only                                     | <ul style="list-style-type: none"><li>Max Loan Amount \$1,500,000</li><li>700+ Score: Max LTV is the lesser of the LTV on the Matrix or 80% Owner Occupied; 75% NOO and 2<sup>nd</sup> Home.</li><li>680-699 Score: Max LTV is the lesser of the LTV on the Matrix or 75% Owner Occupied; 70% NOO and 2<sup>nd</sup> Home.</li><li>24- or 12-month P&amp;L; prepared by CPA/EA or Tax Preparer. CPA/EA/Tax Preparer must also attest to having prepared the borrower's most recent tax returns. Verbal verification of P&amp;L is required prior to closing.</li><li>Not permitted with Express or for licensed professionals with a business in existence for one year.</li></ul> |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| IRS Form 1099                                | <ul style="list-style-type: none"><li>2-Years or 1-Year 1099</li><li>Fixed Expense Ratio of 10%</li></ul> <ul style="list-style-type: none"><li>YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is &gt;90 days from the note date.</li></ul>                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| Tip Income                                   | <p>Sample target borrower: restaurant server, bartender, cabdriver, etc.</p> <ul style="list-style-type: none"><li>Must have a history of receipt of at least one full year without gaps in employment.</li><li>WVOE with 2+ Months Bank Statements with 680 score to 80% LTV</li><li>May not be employed by a family members or related individuals.</li></ul>                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |
| WVOE                                         | <ul style="list-style-type: none"><li>WVOE – FNMA 1005 completed with the past 2 years of income/employment. Form must be completed by Human Resources, Payroll, or an Officer of the Company.</li><li>Two (2) most recent months of bank statements supporting at least 65% of the gross wages reflected on the WVOE.</li><li>Verification of delivery and receipt of the FNMA Form 1005 required (see guidelines for requirements).</li><li>One-year history with the same employer with minimum two (2) years in the same line of work.</li><li>One-year 0x30 housing history is required; borrowers without a housing history not permitted.</li></ul>                         |                                                                                                                                                                                                                                                     |                                                                                                                                                                       |

|                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|----------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                          | <ul style="list-style-type: none"><li>Borrowers may not be employed by family members or related individuals.</li><li>W2s, Tax Returns, Paystubs, 4506-C are not required.</li><li>Borrowers can have no other active source of income; passive income such as rental income may be included.</li><li>Minimum credit score 680; OO Max 80% LTV; SH and NOO Max 75% LTV.</li><li>Maximum loan amount \$1,500,000</li></ul>                                                                                                                                                                                                                                                     |                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Asset Utilization                                        | <ul style="list-style-type: none"><li>Eligible assets divided by 60 to determine a monthly income stream; or if &lt;=60% DTI without using assets for income, divide eligible assets by 36 months to determine qualifying income (sourced and seasoned for 3-months).</li><li>Purchase/Rate &amp; Term:<ul style="list-style-type: none"><li>&lt;= 85% LTV – follow LTV limits per the matrix</li><li>&gt; 85%LTV – permitted per the matrix provided the DTI is &lt;=60% without using assets for income.</li></ul></li><li>Cash Out: follow LTV limits per the matrix.</li><li>ITIN: allowed - See Alt Doc ITIN section for limitations.</li></ul>                          |                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Less than 2 years Self Employment options                | <ul style="list-style-type: none"><li><b>OPTION 1:</b> S/E 18+ months with 3+yrs prior experience in the same line of business.</li><li><b>OPTION 2:</b> Licensed Professional (medical, legal, accounting, etc.) with 12+ months business existence provided 3+yrs prior experience in the same line of work or evidence of formal education in related field.</li></ul> For both Option 1 and Option 2, the following requirements apply: <ul style="list-style-type: none"><li>Minimum Score: 700 ; Max LTV: 80% OO / 75% 2<sup>nd</sup> Home / 70% NOO</li><li>Not available for P&amp;L only documentation type</li><li>Not available for Select Prime Express</li></ul> |                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Underwriting Requirements - Select Prime – Alt Doc       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Credit Score                                             | <ul style="list-style-type: none"><li>Middle of 3 scores or lower of 2 for Primary Income Earner.</li><li>Additional borrowers must have a min score of 540.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | DTI Requirements                                                    | <ul style="list-style-type: none"><li>Max 50%</li><li>40 Yr Fixed Must Qualify as a 30-Yr at &lt;=55% DTI.</li><li>55% DTI with the following restrictions:<ul style="list-style-type: none"><li>Min FICO 680</li><li>0x30x12</li><li>48 mos since a housing event</li><li>Max loan amount \$2.5M</li><li>Not permitted with a 40-yr term</li></ul></li></ul>                                                                                                                    |
| Tradelines                                               | <ul style="list-style-type: none"><li>Primary wage earner has 3 scores; or</li><li>Min 2 open &amp; reporting 24-months; or</li><li>3 open and reporting 12-months; or</li><li>24-months mortgage rating reporting on credit</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                        | Residual OO and 2 <sup>nd</sup> Homes only                          | <ul style="list-style-type: none"><li>Gross Monthly Income – Total Monthly Obligations.</li><li>Requirement based on # in household.</li><li>Applies to HPML loans or when the DTI &gt; 43% on OO and 2nd homes only:<ul style="list-style-type: none"><li>1 person = \$1,500</li><li>2 persons = \$2,500</li><li>Add \$150 per additional household member.</li></ul></li></ul>                                                                                                 |
| FTHB                                                     | <ul style="list-style-type: none"><li>Permitted to a maximum loan size of \$1.5m on O/O,2<sup>nd</sup> Home and NOO.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Gift Funds                                               | Gift funds permitted provided borrower meets minimum contribution: <ul style="list-style-type: none"><li>5% primary</li><li>10% second home/investment</li><li>Gift funds not permitted to be used towards reserves.</li><li>100% of down payment and closing cost may come from gifted funds for OO and SH to a max of 80%.</li></ul>                                                                                                                                                                                                                                                                                                                                        | Reserves                                                            | <ul style="list-style-type: none"><li>&lt;= \$500,000 = 3 months PITIA w/LTV &lt;= 80%</li><li>&lt;= \$500,000 = 6 months PITIA w/LTV &gt; 80%</li><li>&gt; \$500,000 to \$1,500,000 = 6 months PITIA</li><li>&gt; \$1,500,000 to \$2,500,000 = 9 months PITIA</li><li>&gt; \$2,500,000 to \$3,500,000 = 12 months PITIA</li><li>Cash-out proceeds may be used to satisfy reserves.</li><li>Reserves are not required when Asset utilization is sole source of income.</li></ul> |
| Assets                                                   | <ul style="list-style-type: none"><li>30-days asset verification required</li><li>Deposits &gt; 50% of gross income or average deposits on a bank statement loan must be documented on purchases.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Prepayment Penalty                                                  | <ul style="list-style-type: none"><li>Required on Investment Properties when permitted.</li><li>See PPP Requirements Matrix</li><li>No PPP – Correspondent Only</li></ul>                                                                                                                                                                                                                                                                                                        |
|                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Age of Documentation                                                | <ul style="list-style-type: none"><li>Credit - 120 days</li><li>Income and Assets - 90 days</li></ul>                                                                                                                                                                                                                                                                                                                                                                            |
| Interested Party Contributions                           | Primary and 2 <sup>nd</sup> Homes <ul style="list-style-type: none"><li>&lt;= 75% LTV = 9%</li><li>&gt; 75% = 6%</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Investment <ul style="list-style-type: none"><li>ALL = 6%</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Select Prime Express - Alt Doc                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Follow standard guidelines where silent in this section. |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Underwriting Method                                      | <ul style="list-style-type: none"><li>DU Approve Eligible and Approve/Ineligible</li><li>Ineligibility only due to loan size or feature, such as IO.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Income                                                              | <ul style="list-style-type: none"><li>Follow program documentation requirements.</li><li>Follow program DTI restrictions.</li><li>P&amp;L Only not permitted.</li><li>One-Year Self Employed not permitted.</li></ul>                                                                                                                                                                                                                                                            |
| Credit                                                   | <ul style="list-style-type: none"><li>Follow AUS with the exception of housing history must be 0x30x12 and no extenuating circumstances for BK/Housing event.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Reserves                                                            | <ul style="list-style-type: none"><li>LTVs &gt; 85%:<ul style="list-style-type: none"><li>Up to \$1.5M with 760+ Score = 6 months PITIA</li></ul></li><li>LTV &lt;= 85%:<ul style="list-style-type: none"><li>Loans &lt;= \$2,000,000 follow DU Findings</li><li>Loans &gt; \$2,000,000 must meet product reserve requirements.</li></ul></li><li>Reserves are not required when using Asset Utilization as sole source of income.</li></ul>                                     |
| Eligibility                                              | <ul style="list-style-type: none"><li>740-759 Scores and &gt; 85% LTV not eligible; follow standard program requirements.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Non-Occupant Co-Borrower                                 | <ul style="list-style-type: none"><li>Ratios for the Occupying Borrower and Non-Occupant Co-Borrower may be blended.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Appraisal                                                           | <ul style="list-style-type: none"><li>Reduced Condo Reviews not permitted.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                             |

| ITIN – ALT DOC Matrix     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                        |          |                             |  |
|---------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------|----------|-----------------------------|--|
| Maximum LTV/CLTVs         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Primary Residence                      |          |                             |  |
| Credit Score              | Loan Amount                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Purchase & R/T                         | Cash-Out | Number of Units             |  |
| 740                       | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 80                                     | 80       | 1-Unit<br>SFR, Condo, PUD   |  |
|                           | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 80                                     | 80       |                             |  |
|                           | 2,000,001 - 2,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 75                                     | 70       |                             |  |
| 720                       | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 80                                     | 80       |                             |  |
|                           | 1,500,001 - 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 80                                     | 75       |                             |  |
|                           | 2,000,001 – 2,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 60                                     | 60       |                             |  |
| 700                       | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 80                                     | 80       |                             |  |
|                           | 1,500,001 - 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 70                                     | 70       |                             |  |
| 660                       | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 80                                     | 75       |                             |  |
| 640                       | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 75                                     | 70       |                             |  |
| 720                       | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 80                                     | 75       | 2-4-Units<br>Family Housing |  |
|                           | 1,500,001 - 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 75                                     | 60       |                             |  |
| 700                       | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 80                                     | 70       |                             |  |
|                           | 1,500,001 - 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 70                                     | 60       |                             |  |
| 680                       | 125,000 - 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 75                                     | 70       |                             |  |
| Notes                     | • Non-Warrantable Projects: Max 75% LTV                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                        |          |                             |  |
| Maximum LTV/CLTVs         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Second Home                            |          |                             |  |
| Credit Score              | Loan Amount                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Purchase & R/T                         | Cash-Out | Number of Units             |  |
| 720                       | 125,000 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 75                                     | 70       | 1-Unit<br>SFR, Condo, PUD   |  |
|                           | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 75                                     | 60       |                             |  |
| 700                       | 125,000 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 75                                     | 70       |                             |  |
|                           | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 70                                     | 60       |                             |  |
| 660-699                   | 125,000 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 70                                     | 65       |                             |  |
| Notes                     | • Second Homes: 2-4 Unit Properties are Ineligible<br>• Non-Warrantable Projects: Max 75% LTV                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                        |          |                             |  |
| Maximum LTV/CLTVs         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Investment Property (Business Purpose) |          |                             |  |
| Credit Score              | Loan Amount                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Purchase & R/T                         | Cash-Out | Number of Units             |  |
| 700                       | 125,000 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 75                                     | 70       | 1-4-Units, Condo, PUD       |  |
|                           | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 75                                     | 70       |                             |  |
|                           | 2,000,0001 – 2,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 70                                     | 65       |                             |  |
| 680                       | 125,000 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 70                                     | 65       |                             |  |
|                           | 1,500,0001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 70                                     | 65       |                             |  |
|                           | 2,000,0001 – 2,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 65                                     | 60       |                             |  |
| 660                       | 125,000 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 70                                     | 65       |                             |  |
|                           | 1,500,0001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 60                                     | N/A      |                             |  |
| Notes                     | • Non-Warrantable Condos: Max 75% LTV                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                        |          |                             |  |
| ITIN – Alt Doc – Overlays |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                        |          |                             |  |
| ITIN<br>Overlays          | <div><div><ul style="list-style-type: none"><li>• Max Loan Amount: \$2,500,000</li><li>• <u>Eligible Products/Terms:</u><ul style="list-style-type: none"><li>○ 5/6 SOFR ARM 30-Yr Term</li><li>○ 5/6 I/O SOFR ARM 30-Yr</li><li>○ 30-Yr FRM Full Am &amp; I/O</li><li>○ 15-Year Fixed Fully Amortizing</li></ul></li><li>• I/O: ARMs and 30-Yr FRM/30-yr Term only</li><li>• <u>Credit Score &amp; Tradeline Requirements:</u><ul style="list-style-type: none"><li>○ A min of 2 credit scores is required.</li><li>○ 1 score is permitted when the credit report has sufficient tradeline activity, defined as follows:<ul style="list-style-type: none"><li>• 3 trades reporting for 12+ months, OR</li><li>• 2 trades reporting for 24+ months, OR</li><li>• 2 year mortgage history.</li></ul></li></ul></li><li>• Middle of 3 or lower of 2 scores for the primary wage earner is considered the qualifying score. When only one score is present, that score is considered the qualifying score.</li><li>• Tradelines requirements are waived with three (3) scores.<ul style="list-style-type: none"><li>○ Spouses may combine trades.</li></ul></li><li>• If no full housing history and has 3 scores, OR when only 2 scores are available see required tradeline activity above.</li></ul></div><div><ul style="list-style-type: none"><li>• <u>Housing/Rental History:</u> 0x30x12</li><li>• <u>Max Cash-Out:</u><ul style="list-style-type: none"><li>○ If LTV &gt; 60% = Max \$1.0M (Not eligible with DU option for unlimited cash-out with 18 months additional reserves).</li></ul></li><li>• <u>Income Doc Types:</u><ul style="list-style-type: none"><li>○ <u>12- or 24- months personal or business bank statements</u></li><li>○ CPA/Tax Prep/EA 12-Month P&amp;L + 2 months bank statements</li><li>○ P&amp;L Only not eligible</li><li>○ 12- or 24- months 1099s</li><li>○ Not eligible for Express (DU), WVOE w/Bank Statements or P&amp;L Only.</li><li>○ <u>Asset Utilization:</u> Supplemental or standalone (60 months only). May be combined with Full Doc Income as primary source of income.</li></ul></li><li>• <u>Gift Funds:</u><ul style="list-style-type: none"><li>○ Gift funds not permitted on NOO.</li></ul></li><li>• <u>Property Restrictions:</u><ul style="list-style-type: none"><li>○ Condo Non-Warrantable - Max 75% LTV</li></ul></li><li>• <u>Escrow Waiver:</u><ul style="list-style-type: none"><li>○ Not permitted.</li></ul></li></ul></div></div> |                                        |          |                             |  |



SUPER JUMBO – FULL DOC

| Maximum LTV/CLTVs                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                     | Full Documentation – Primary Residence |                                                                                                                                                                        |          |         |
|-------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------|
| Credit Score                                                                                          | Loan Amount                                                                                                                                                                                                                                                                                                                                                                         | Purchase                               | Rate & Term                                                                                                                                                            | Cash-Out | Max DTI |
| 740                                                                                                   | \$3,500,001 - \$4,000,000                                                                                                                                                                                                                                                                                                                                                           | 70                                     | 70                                                                                                                                                                     | 60       | 38%     |
| 720                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                     | 65                                     | 65                                                                                                                                                                     | 55       |         |
| 740                                                                                                   | \$4,000,001 - \$4,500,000                                                                                                                                                                                                                                                                                                                                                           | 65                                     | 65                                                                                                                                                                     | 55       |         |
| 720                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                     | 60                                     | 60                                                                                                                                                                     | 50       |         |
| 740                                                                                                   | \$4,500,001 - \$5,000,000                                                                                                                                                                                                                                                                                                                                                           | 65                                     | 65                                                                                                                                                                     | 55       |         |
| 720                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                     | 60                                     | 60                                                                                                                                                                     | 50       |         |
| Geographic Restrictions                                                                               |                                                                                                                                                                                                                                                                                                                                                                                     |                                        |                                                                                                                                                                        |          |         |
| o FL: Non-Permanent Resident Aliens from China are ineligible.                                        |                                                                                                                                                                                                                                                                                                                                                                                     |                                        |                                                                                                                                                                        |          |         |
| o HI: Non-licensed State.                                                                             |                                                                                                                                                                                                                                                                                                                                                                                     |                                        |                                                                                                                                                                        |          |         |
| o IL counties: Cook, Kane, Peoria, and Will: Not permitted for OO - Does not apply to Correspondents. |                                                                                                                                                                                                                                                                                                                                                                                     |                                        |                                                                                                                                                                        |          |         |
| o MD: Baltimore City Row Homes are ineligible.                                                        |                                                                                                                                                                                                                                                                                                                                                                                     |                                        |                                                                                                                                                                        |          |         |
| Program Description                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                     |                                        |                                                                                                                                                                        |          |         |
| Program Description                                                                                   | • The Super Jumbo Program is a specialty product for high-net-worth borrowers with solid and stable income and credit, as well as considerable assets to cover down payment, closing costs and reserves.                                                                                                                                                                            |                                        |                                                                                                                                                                        |          |         |
| Underwriting                                                                                          | • Manual Underwriting. Express (DU) is not permitted.                                                                                                                                                                                                                                                                                                                               |                                        |                                                                                                                                                                        |          |         |
| General Requirements                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                     |                                        |                                                                                                                                                                        |          |         |
| Products                                                                                              | • 30-Year Fixed Fully Amortizing<br>• 40-Year Fixed IO                                                                                                                                                                                                                                                                                                                              |                                        |                                                                                                                                                                        |          |         |
| Interest Only                                                                                         | • Purchase, R/T and Cash-Out: allowed per LTV limits in Matrix                                                                                                                                                                                                                                                                                                                      |                                        |                                                                                                                                                                        |          |         |
| Loan Amounts                                                                                          | • Minimum Loan Amount: \$3,500,001                                                                                                                                                                                                                                                                                                                                                  |                                        |                                                                                                                                                                        |          |         |
| Borrower Eligibility                                                                                  | • Non-Occupant Co-Borrowers are not permitted.<br>• First Time Home Buyers are not permitted.<br>• ITIN borrowers are not permitted.                                                                                                                                                                                                                                                |                                        |                                                                                                                                                                        |          |         |
| Occupancy                                                                                             | • Primary Residence                                                                                                                                                                                                                                                                                                                                                                 |                                        |                                                                                                                                                                        |          |         |
| Property Types                                                                                        | • SFR/PUD 1-Unit<br>• SFR with more than one Accessory Dwelling Unit is not permitted.<br>• Condo (Warrantable/Non-Warrantable)<br>• Max 2 acres<br>• No farms/rural properties                                                                                                                                                                                                     |                                        |                                                                                                                                                                        |          |         |
| Appraisal Requirements                                                                                | • Two (2) Full Appraisals (interior/exterior)<br>• FNMA Form 1004, 1073 with interior/exterior inspection                                                                                                                                                                                                                                                                           |                                        |                                                                                                                                                                        |          |         |
| Declining Markets                                                                                     | • Purchase and R/T: the lesser of matrix LTV or max 65%<br>• Cash-Out: the lesser of matrix LTV or max 55%                                                                                                                                                                                                                                                                          |                                        |                                                                                                                                                                        |          |         |
| Cash-Out                                                                                              | • Max cash-out (defined as cash in hand): \$1,500,000.<br>• Cash-Out proceeds may not be used to meet reserves                                                                                                                                                                                                                                                                      |                                        |                                                                                                                                                                        |          |         |
| Income Requirements                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                     |                                        |                                                                                                                                                                        |          |         |
| Full Doc Income                                                                                       | • W-2, 2 Years or 1 Year, IRS Form 4506<br>• Self-Employed: 2 Years or 1 Year of Personal and Business Tax Returns,<br>• YTD P&L, IRS Form 4506, 2 months of most recent bank statements.<br>• S/E Borrower must have a minimum of 2 full years in the current business.<br>• Verbal VOE required within 10-days of Note Date for wage earners; 30 days for self-employed borrowers |                                        |                                                                                                                                                                        |          |         |
| Underwriting Requirements Super Jumbo - Full Doc                                                      |                                                                                                                                                                                                                                                                                                                                                                                     |                                        |                                                                                                                                                                        |          |         |
| Credit Score                                                                                          | • Middle of 3 scores or lower of 2 for Primary Income Earner.<br>• All borrowers must meet the 720 minimum score.                                                                                                                                                                                                                                                                   | DTI Requirements                       | • Max 38%                                                                                                                                                              |          |         |
|                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                     | Assets                                 | • 30-day asset verification required                                                                                                                                   |          |         |
| Housing History                                                                                       | • 0x30x24                                                                                                                                                                                                                                                                                                                                                                           | Reserves                               | • > \$3.5M to \$4.0M: 12 months min PITIA reserves<br>• > \$4.0M to \$5.0M: 18 months min PITIA reserves<br>• Cash-Out proceeds may not be used to meet reserves.<br>• |          |         |
| Tradelines                                                                                            | • Primary wage earner has 3 scores; OR<br>• Min 2 open & reporting 24-months; OR<br>• 3 open and reporting 12-months; OR<br>• 24-months mortgage rating reporting on credit                                                                                                                                                                                                         |                                        |                                                                                                                                                                        |          |         |
| Credit Events                                                                                         | • . >= 48 months                                                                                                                                                                                                                                                                                                                                                                    |                                        |                                                                                                                                                                        |          |         |
| Age of Documentation                                                                                  | • Credit - 120 days<br>• Income and Assets - 90 days                                                                                                                                                                                                                                                                                                                                | Gift Funds                             | • Permitted after 20% contribution towards down payment, closing costs, prepaid and reserves are met from Borrower's own funds.                                        |          |         |
| Escrow Waivers                                                                                        | • Not permitted                                                                                                                                                                                                                                                                                                                                                                     | Prepayment Penalty                     | • Not permitted<br>•                                                                                                                                                   |          |         |



SUPER JUMBO – ALT DOC

| Maximum LTV/CLTVs                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                          | Alt Documentation – Primary Residence |             |          |         |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------|-------------|----------|---------|
| Credit Score                                                                                                                                                                                                                                                                                                          | Loan Amount                                                                                                                                                                                                                                                                                                                                                                                              | Purchase                              | Rate & Term | Cash-Out | Max DTI |
| 740                                                                                                                                                                                                                                                                                                                   | \$3,500,001 - \$4,000,000                                                                                                                                                                                                                                                                                                                                                                                | 70                                    | 70          | 60       | 38%     |
| 720                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                          | 65                                    | 65          | 55       |         |
| 740                                                                                                                                                                                                                                                                                                                   | \$4,000,001 - \$4,500,000                                                                                                                                                                                                                                                                                                                                                                                | 65                                    | 65          | 55       |         |
| 720                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                          | 60                                    | 60          | 50       |         |
| 740                                                                                                                                                                                                                                                                                                                   | \$4,500,001 - \$5,000,000                                                                                                                                                                                                                                                                                                                                                                                | 65                                    | 65          | 55       |         |
| 720                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                          | 60                                    | 60          | 50       |         |
| Geographic Restrictions                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                          |                                       |             |          |         |
| <ul style="list-style-type: none"><li>• FL: Non-Permanent Resident Aliens from China are ineligible.</li><li>• HI: Non-licensed State.</li><li>• IL counties: Cook, Kane, Peoria, and Will: Not permitted for OO - Does not apply to Correspondents.</li><li>• MD: Baltimore City Row Homes are ineligible.</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                          |                                       |             |          |         |
| Program Description                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                          |                                       |             |          |         |
| Program Description                                                                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"><li>• The Super Jumbo Program is a specialty product for high-net-worth borrowers (Solid and stable income and credit, considerable assets to cover down payment, closing costs and reserves).</li><li>• The collateral must be a prime real estate property within a prime real estate market for the property type.</li></ul>                                        |                                       |             |          |         |
| Underwriting                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"><li>• Manual Underwriting</li><li>• Express (DU) is not permitted.</li></ul>                                                                                                                                                                                                                                                                                           |                                       |             |          |         |
| General Requirements                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                          |                                       |             |          |         |
| Products                                                                                                                                                                                                                                                                                                              | <ul style="list-style-type: none"><li>• 30-Year Fixed Fully Amortizing</li><li>• 40-Year Fixed IO</li></ul>                                                                                                                                                                                                                                                                                              |                                       |             |          |         |
| Loan Amounts                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"><li>• Minimum Loan Amount: \$3,500,001</li></ul>                                                                                                                                                                                                                                                                                                                       |                                       |             |          |         |
| Interest Only                                                                                                                                                                                                                                                                                                         | <ul style="list-style-type: none"><li>• Purchase, R/T and Cash-Out: allowed per LTV limits in Matrix</li></ul>                                                                                                                                                                                                                                                                                           |                                       |             |          |         |
| Borrower Eligibility                                                                                                                                                                                                                                                                                                  | <ul style="list-style-type: none"><li>• Non-Occupant Co-Borrowers are not permitted.</li><li>• First Time Home Buyers are not permitted.</li><li>• ITIN borrowers are not permitted.</li></ul>                                                                                                                                                                                                           |                                       |             |          |         |
| Occupancy                                                                                                                                                                                                                                                                                                             | <ul style="list-style-type: none"><li>• Primary Residence only</li></ul>                                                                                                                                                                                                                                                                                                                                 |                                       |             |          |         |
| Property Types                                                                                                                                                                                                                                                                                                        | <ul style="list-style-type: none"><li>• SFR/PUD- 1-Unit</li><li>• Condo (Warrantable/Non-Warrantable)</li><li>• SFR with more than one Accessory Dwelling Unit is not permitted.</li><li>• Max 2 acres</li><li>• No farms or rural properties</li></ul>                                                                                                                                                  |                                       |             |          |         |
| Appraisal Requirements                                                                                                                                                                                                                                                                                                | <ul style="list-style-type: none"><li>• Two (2) Full Appraisals (interior/exterior)</li><li>• FNMA Form 1004, 1073 with interior/exterior inspection</li></ul>                                                                                                                                                                                                                                           |                                       |             |          |         |
| Declining Markets                                                                                                                                                                                                                                                                                                     | <ul style="list-style-type: none"><li>• Purchase and R/T: the lesser of matrix LTV or max 65%</li><li>• Cash-Out: the lesser of matrix LTV or max 55%</li></ul>                                                                                                                                                                                                                                          |                                       |             |          |         |
| Cash-Out                                                                                                                                                                                                                                                                                                              | <ul style="list-style-type: none"><li>• Max cash-out (defined as cash in hand):</li><li>• Max \$1,500,000</li><li>• Cash-Out proceeds may not be used to meet reserves.</li></ul>                                                                                                                                                                                                                        |                                       |             |          |         |
| Income Requirements - Super Jumbo – Alt Doc                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                          |                                       |             |          |         |
| Self-Employment                                                                                                                                                                                                                                                                                                       | <ul style="list-style-type: none"><li>• S/E Borrower must have a minimum of 2 full years in the current business.</li><li>• Evidence within 30-days of the Note date that the business is active and operating</li></ul>                                                                                                                                                                                 |                                       |             |          |         |
| Personal Bank Statements:                                                                                                                                                                                                                                                                                             | <ul style="list-style-type: none"><li>• 24 months of Personal and 2-months of business bank statements.</li><li>• Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements.</li><li>• The business bank statements must reflect business activity and transfers to the personal account.</li></ul>                   |                                       |             |          |         |
| Business/Co-Mingled Bank Statements                                                                                                                                                                                                                                                                                   | <ul style="list-style-type: none"><li>• 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods:<ul style="list-style-type: none"><li>◦ Fixed Expense Ratio (50%); OR</li><li>◦ Expense Ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR</li><li>◦ 3rd party prepared Profit &amp; Loss Statement (CPA or EA).</li></ul></li></ul> |                                       |             |          |         |
| Asset Utilization                                                                                                                                                                                                                                                                                                     | <ul style="list-style-type: none"><li>• Eligible assets divided by 84 to determine a monthly income stream (sourced/seasoned for 3-months).</li><li>• Purchase, Rate/Term and Cash-Out: follow LTV limits in matrix.</li><li>• Maximum loan amount \$5,000,000</li></ul>                                                                                                                                 |                                       |             |          |         |

| Underwriting Requirements - Super Jumbo - Alt Doc |                                                                                                                                                                                                                                        |                    |                                                                                                                                                                                                                                                                                                                  |
|---------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Credit Score                                      | <ul style="list-style-type: none"><li>Middle of 3 scores or lower of 2 for Primary Income Earner.</li><li>All borrowers must meet the 720 minimum score.</li></ul>                                                                     | DTI Requirements   | <ul style="list-style-type: none"><li>Max 38%</li></ul>                                                                                                                                                                                                                                                          |
|                                                   |                                                                                                                                                                                                                                        | Assets             | <ul style="list-style-type: none"><li>30-day asset verification required</li></ul>                                                                                                                                                                                                                               |
| Housing History                                   | 0x30x24                                                                                                                                                                                                                                | Escrow Waivers     | <ul style="list-style-type: none"><li>Not permitted</li></ul>                                                                                                                                                                                                                                                    |
| Tradelines                                        | <ul style="list-style-type: none"><li>Primary wage earner has 3 scores; or</li><li>Min 2 open &amp; reporting 24-months; or</li><li>3 open and reporting 12-months; or</li><li>24-months mortgage rating reporting on credit</li></ul> | Reserves           | <ul style="list-style-type: none"><li>&gt; \$3.5M to \$4.0M: 12 months min PITIA reserves</li><li>&gt; \$4.0M to \$5.0M: 18 months min PITIA reserves</li><li>Cash-Out proceeds may not be used to meet reserves.</li><li>Reserves not required when using Asset Utilization as sole source of income.</li></ul> |
| Credit Events                                     | <ul style="list-style-type: none"><li>&gt;= 48 months</li></ul>                                                                                                                                                                        |                    |                                                                                                                                                                                                                                                                                                                  |
| Age of Documentation                              | <ul style="list-style-type: none"><li>Credit - 120 days</li><li>Income and Assets - 90 days</li></ul>                                                                                                                                  | Gift Funds         | <ul style="list-style-type: none"><li>Permitted after 20% contribution towards down payment, closing costs, prepaid and reserves are met from Borrower's own funds.</li></ul>                                                                                                                                    |
| Escrow Waivers                                    | <ul style="list-style-type: none"><li>Not permitted</li></ul>                                                                                                                                                                          | Prepayment Penalty | <ul style="list-style-type: none"><li>Not permitted</li></ul>                                                                                                                                                                                                                                                    |

2<sup>ND</sup> LIEN

| FLEX CLOSED END SECOND LIEN 2 Year ALT Doc or 2 Year Full Doc  |                                                                                                                                                                                                                                                                                                                                                                                                                           |                        |                  |      |                 |                           |                               |                            |
|----------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------|------------------|------|-----------------|---------------------------|-------------------------------|----------------------------|
| Occupancy                                                      | Transaction Type                                                                                                                                                                                                                                                                                                                                                                                                          | Property Type          | Min Credit Score | CLTV | Max Loan Amount | Max Exposure w/CLTV > 80% | Max Exposure w/CLTV 70.01-80% | Max Exposure w/CLTV <= 70% |
| Primary Residence                                              | Purchase & Rate/Term Refinance                                                                                                                                                                                                                                                                                                                                                                                            | SFR                    | 740              | 85%  | \$500,000       | \$2,000,000               | \$3,500,000                   | \$4,000,000                |
|                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                           |                        | 720              | 80%  |                 |                           |                               |                            |
|                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                           | SFR/Condo <sup>1</sup> | 740              | 85%  |                 |                           | \$3,000,000                   | \$3,500,000                |
|                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                           |                        | 700              | 80%  |                 |                           |                               |                            |
|                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                           |                        | 680              | 80%  |                 |                           |                               |                            |
|                                                                | Cash Out                                                                                                                                                                                                                                                                                                                                                                                                                  | SFR                    | 740              | 85%  |                 |                           | \$3,500,000                   | \$4,000,000                |
|                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                           |                        | 720              | 80%  |                 |                           |                               |                            |
|                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                           | SFR/Condo <sup>1</sup> | 700              | 80%  |                 |                           |                               |                            |
| 680                                                            | 75%                                                                                                                                                                                                                                                                                                                                                                                                                       |                        |                  |      |                 |                           |                               |                            |
| ¹Second Homes and Non-Warrantable Condos: reduce max LTV by 5% |                                                                                                                                                                                                                                                                                                                                                                                                                           |                        |                  |      |                 |                           |                               |                            |
| Geographic Restrictions – Second Lien                          |                                                                                                                                                                                                                                                                                                                                                                                                                           |                        |                  |      |                 |                           |                               |                            |
| Restrictions                                                   | <ul style="list-style-type: none"><li>• Not permitted in MS, NJ, NY, TN, or TX</li><li>• FL: Non-Permanent Resident Aliens from China are ineligible.</li><li>• HI: Non-licensed state.</li><li>• IL: 2nd liens in IL are only ineligible for TRID loans located in Cook, Kane, Peoria and Will Counties. Does not apply to Correspondents.</li><li>• MD: Baltimore City Row Homes are ineligible.</li></ul>              |                        |                  |      |                 |                           |                               |                            |
| Product Type                                                   | <ul style="list-style-type: none"><li>• Fixed Closed End Second</li><li>• Manual Underwriting only – Not eligible for Express (DU) .</li></ul>                                                                                                                                                                                                                                                                            |                        |                  |      |                 |                           |                               |                            |
| Available Terms                                                | <ul style="list-style-type: none"><li>• Fixed Rate Fully Amortizing: 15-Year, 20-Year, 25-Year, and 30-Year</li></ul>                                                                                                                                                                                                                                                                                                     |                        |                  |      |                 |                           |                               |                            |
| Loan Amounts                                                   | <ul style="list-style-type: none"><li>• Min: \$125,000</li><li>• Max: \$500,000</li></ul>                                                                                                                                                                                                                                                                                                                                 |                        |                  |      |                 |                           |                               |                            |
| Occupancy                                                      | <ul style="list-style-type: none"><li>• Primary and Second Home<sup>1</sup></li></ul>                                                                                                                                                                                                                                                                                                                                     |                        |                  |      |                 |                           |                               |                            |
| Borrowers                                                      | <ul style="list-style-type: none"><li>• Non-Occupant Co-Borrowers are not permitted on the 1st or 2nd lien.</li></ul>                                                                                                                                                                                                                                                                                                     |                        |                  |      |                 |                           |                               |                            |
| Loan Purpose                                                   | <ul style="list-style-type: none"><li>• Purchase, Rate/Term Refinance and Cash Out</li></ul>                                                                                                                                                                                                                                                                                                                              |                        |                  |      |                 |                           |                               |                            |
| Cash-Out                                                       | <ul style="list-style-type: none"><li>• Cash-out with less than six (6) months seasoning is permitted, provided the LTV is based off the lesser of the purchase price or the appraised value.</li><li>• For a refinance transaction paying off an existing subordinate lien, if that subordinate lien was a cash out transaction, a minimum of six (6) months seasoning must elapse prior to the new refinance.</li></ul> |                        |                  |      |                 |                           |                               |                            |
| Property Type                                                  | <ul style="list-style-type: none"><li>• Single Family, Attached, Detached</li><li>• PUD</li><li>• Townhouse</li><li>• Warrantable Condos</li><li>• <sup>1</sup>Non-Warrantable Condominium with 5% reduction in LTV</li><li>• Condotels not permitted.</li></ul>                                                                                                                                                          |                        |                  |      |                 |                           |                               |                            |
| Appraisals                                                     | <ul style="list-style-type: none"><li>• Full interior/exterior appraisal required.</li></ul>                                                                                                                                                                                                                                                                                                                              |                        |                  |      |                 |                           |                               |                            |
| Declining Markets                                              | <ul style="list-style-type: none"><li>• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when &gt;65% LTV.</li></ul>                                                                                                                                                                                                                                                     |                        |                  |      |                 |                           |                               |                            |
| Rural Property                                                 | <ul style="list-style-type: none"><li>• Not permitted</li></ul>                                                                                                                                                                                                                                                                                                                                                           |                        |                  |      |                 |                           |                               |                            |

### Income Requirements – Second Lien

|                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|--------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full Doc</b>                                              | <ul style="list-style-type: none"> <li>2-year Full Doc</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Personal Bank Statements:</b>                             | <ul style="list-style-type: none"> <li>24 months of Personal and 2-months of business bank statements.</li> <li>Qualifying income is determined by the total eligible deposits from the 24 months of personal statements divided by the number of statements.</li> <li>The business bank statements must reflect business activity and transfers to the personal account.</li> <li>Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history.</li> </ul>                    |
| <b>Business/Co-Mingled Bank Statements:</b>                  | <ul style="list-style-type: none"> <li>24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: <ul style="list-style-type: none"> <li>Fixed Expense Ratio (50%); OR</li> <li>Expense ratio provided by a 3rd party (CPA or EA) min ratio of 10%, OR</li> <li>3rd party prepared Profit &amp; Loss Statement (CPA or EA)</li> </ul> </li> <li>Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history.</li> </ul> |
| <b>24 months CPA/EA prepared Profit &amp; Loss Statement</b> | <ul style="list-style-type: none"> <li>24 months P&amp;L, prepared by CPA or EA</li> <li>Minimum of 2-months business bank statements</li> <li>Evidence within 30-days of the Note date that the business is active and operating with a minimum 2-year operating history</li> </ul>                                                                                                                                                                                                                                                         |
| <b>IRS Form 1099</b>                                         | <ul style="list-style-type: none"> <li>2 Years 1099</li> <li>Fixed Expense Ratio of 10%</li> <li>YTD Documentation to support continued receipt of income from same source.</li> </ul>                                                                                                                                                                                                                                                                                                                                                       |
| <b>Asset Utilization</b>                                     | <ul style="list-style-type: none"> <li>Not permitted</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |

### Underwriting Requirements – Second Lien

|                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                   |                                                                                                                                                                                                                                                                                                                                                                             |
|---------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Credit Score</b>                   | <ul style="list-style-type: none"> <li>Middle of 3 scores or lower of 2 for Primary Income Earner.</li> <li>Additional borrowers must have a minimum score of 540.</li> </ul>                                                                                                                                                                                                                                                                                                                                    | <b>DTI Requirements</b>                           | <ul style="list-style-type: none"> <li>Max 50% Primary</li> <li>Max 43% Second Home</li> </ul>                                                                                                                                                                                                                                                                              |
| <b>Mortgage History</b>               | <ul style="list-style-type: none"> <li>0x30x24</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                        | <b>I/O First Mortgage Qualifying Requirements</b> | <ul style="list-style-type: none"> <li>Interest Only (I/O) First Mortgage must be qualified at the fully amortizing P&amp;I payment</li> </ul>                                                                                                                                                                                                                              |
| <b>Tradelines</b>                     | <ul style="list-style-type: none"> <li>If the Primary wage earner has 3 credit scores, there are no further tradeline requirements.</li> </ul> <p>Otherwise, trades must meet one of the following:</p> <ul style="list-style-type: none"> <li>3 reporting for 12+ months + activity within most recent 12 months (may be closed)</li> <li>2 reporting for 24+ with activity within most recent 12 months (may be closed)</li> <li>24-months mortgage history reporting on credit report with a score</li> </ul> | <b>Assets</b>                                     | <ul style="list-style-type: none"> <li>30-days asset verification required</li> <li>Deposits &gt; 50% of gross income or average deposits on a bank statement loan must be documented on purchases</li> </ul>                                                                                                                                                               |
|                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <b>Gift Funds</b>                                 | <p>Gift funds permitted provided borrower meets minimum contribution:</p> <ul style="list-style-type: none"> <li>5% primary</li> <li>10% second home</li> <li>Gift funds not permitted to be used towards reserves</li> </ul>                                                                                                                                               |
|                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <b>Residual OO and 2<sup>nd</sup> Homes only</b>  | <ul style="list-style-type: none"> <li>Defined as Gross Monthly Income – Total Monthly Obligations.</li> <li>Requirement based on # in household.</li> <li>Applies to HPML loans or when the DTI &gt; 43%: <ul style="list-style-type: none"> <li>1 person = \$1,500</li> <li>2 persons = \$2,500</li> <li>Add \$150 per additional household member</li> </ul> </li> </ul> |
| <b>Housing Event and BK Seasoning</b> | <ul style="list-style-type: none"> <li>4 years</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                        | <b>Reserves</b>                                   | <ul style="list-style-type: none"> <li>6 months reserves required.</li> <li>Cash out may be used to satisfy requirement</li> </ul>                                                                                                                                                                                                                                          |
| <b>Age of Documentation</b>           | <ul style="list-style-type: none"> <li>Credit - 120 days</li> <li>Income and Assets - 90 days</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                         | <b>Prepayment Penalty</b>                         | <ul style="list-style-type: none"> <li>Not permitted</li> </ul>                                                                                                                                                                                                                                                                                                             |

INVESTOR – DSCR

| Investment Property (Business Purpose)                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                    |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------|
| Maximum LTV/CLTVs                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | >=1.00 DSCR*                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                    |
| Credit Score                                                                                                                                                                                                                                                                                                                                                                                                                                  | Loan Amount                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Purchase                              | R/T Refinance                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Cash-Out Refinance |
| 740                                                                                                                                                                                                                                                                                                                                                                                                                                           | 125,000 - < 150,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 80                                    | 80                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 75                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 150,000 - 1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 85                                    | 80                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 75                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 85                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 75                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 2,000,001 – 2,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
| 720                                                                                                                                                                                                                                                                                                                                                                                                                                           | 125,000 - <150,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 80                                    | 80                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 75                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 150,000 - 1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 85                                    | 80                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 75                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 85                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 75                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 2,000,001 – 2,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
| 700                                                                                                                                                                                                                                                                                                                                                                                                                                           | <=1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 75                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 2,000,001 – 2,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
| 680                                                                                                                                                                                                                                                                                                                                                                                                                                           | <=1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 75                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 2,000,001 – 2,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
| 660                                                                                                                                                                                                                                                                                                                                                                                                                                           | <=1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 65                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 65                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 60                                    | 60                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 55                 |
| 640 – 659                                                                                                                                                                                                                                                                                                                                                                                                                                     | <=1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 65                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 60                                    | 60                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 55                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 55                                    | 55                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 50                 |
| Maximum LTV/CLTVs                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | < 1.00 DSCR* Note Minimum DSCR is .75 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                    |
| 740                                                                                                                                                                                                                                                                                                                                                                                                                                           | <=1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 75                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 75                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 75                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
| 720                                                                                                                                                                                                                                                                                                                                                                                                                                           | <=1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 75                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 65                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 65                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | NA                 |
| 700                                                                                                                                                                                                                                                                                                                                                                                                                                           | <=1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 75                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 70                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 65                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 65                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | NA                 |
| 680                                                                                                                                                                                                                                                                                                                                                                                                                                           | <=1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 65                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
| Maximum LTV/CLTV                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | No Ratio                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                    |
| 740                                                                                                                                                                                                                                                                                                                                                                                                                                           | <=1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 75                                    | 75                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 65                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
| 720                                                                                                                                                                                                                                                                                                                                                                                                                                           | <=1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 70                                    | 70                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 65                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
| 700                                                                                                                                                                                                                                                                                                                                                                                                                                           | <=1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 65                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                               | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 65                                    | 65                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 60                 |
| Housing History                                                                                                                                                                                                                                                                                                                                                                                                                               | Housing Event Seasoning                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                       | Property Type Restrictions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                    |
| <ul style="list-style-type: none"><li>• 0x30x12 – No reduction</li><li>• 1x30x12:<ul style="list-style-type: none"><li>◦ 5% LTV reduction</li></ul></li><li>• Past due balloon will be considered a delinquency (1x30) not a housing event, only if within 180 days of maturity.</li><li>• 1x30 not permitted on No Ratio</li></ul>                                                                                                           | <p><u>BK/FC/SS/DIL/Mod:</u></p> <ul style="list-style-type: none"><li>• &gt;=36 Mo – No reduction</li><li>• &gt;=24 Mo – Max 75% LTV Purchase &amp; Max 70% LTV Rate/Term &amp; Cash-out</li><li>• Discharged Ch 13, use filing date; min 1yr discharged.</li><li>• Dismissed Ch 13, use dismissal date.</li></ul> <p><u>No Ratio:</u></p> <ul style="list-style-type: none"><li>• Requires 3+ years from a housing event.</li><li>• Multiple BKs not permitted.</li><li>• Chapter 13s must be discharged or dismissed 24+ months.</li></ul> |                                       | <ul style="list-style-type: none"><li>• 1-4 Units :<ul style="list-style-type: none"><li>• Purchase ONLY to 85%</li></ul></li><li>• 2 Units - Refinance:<ul style="list-style-type: none"><li>• Max LTV/CLTV: 80%</li></ul></li><li>• 3-4 Units - Refinance:<ul style="list-style-type: none"><li>• &gt;= 1.00 DSCR = Max LTV 75%</li><li>• &lt; 1.00 DSCR = Max LTV 70%</li></ul></li></ul> <p><u>Condos:</u></p> <ul style="list-style-type: none"><li>• Ineligible for &gt; 80% LTV</li><li>• 720+ Purchase/R&amp;T: Max 80%</li><li>• &lt; 720 Purchase/R&amp;T: Max 75%</li><li>• 720+ Cash Out: Max 75%</li><li>• &lt; 720 Cash Out: Max 70%</li></ul> |                    |
| Geographic Restrictions                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                    |
| <ul style="list-style-type: none"><li>• IL counties: Cook, Kane, Peoria and Will: Not permitted for OO and SH – Does not apply to Correspondents.</li><li>• FL: Non-Permanent Resident Aliens from China are ineligible</li><li>• HI: Non-licensed State</li><li>• MD: Baltimore City Row Homes are ineligible.</li><li>• NY: STRs in the 5 NYC Boroughs are ineligible (Manhattan, Brooklyn, The Bronx, Queens and Staten Island).</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                    |

| General Requirements – Investor DSCR       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                      |                                                                                                                                                                                     |
|--------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Product Type                               | <ul style="list-style-type: none"><li>40-Year Fixed IO = Max 75% LTV</li><li>30-Yr Fixed IO = Max 80% LTV</li><li>30-Yr Fixed, 15-Yr Fixed</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                      |                                                                                                                                                                                     |
| Interest Only                              | <ul style="list-style-type: none"><li>Min Credit Score: 640 when DSCR &gt;= 1%</li><li>Min Credit Score: 700 when DSCR &lt; 1%</li><li>Interest Only not allowed on No Ratio Loans</li><li>Borrower to qualify using the IO payment based on the qualifying rate.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                      |                                                                                                                                                                                     |
| Loan Amounts                               | <ul style="list-style-type: none"><li>Min: 75,000</li><li>Max \$3,000,000</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Loan Amounts \$75K to < \$100K: <ul style="list-style-type: none"><li>Max LTV 65%</li><li>1% DSCR Required</li></ul> | Loan Amounts >=\$100,000 to < \$125,000: <ul style="list-style-type: none"><li>Max LTV 75% Purchase/Rate and Term.</li><li>Max LTV 70% Cash Out.</li><li>1% DSCR Required</li></ul> |
| Occupancy                                  | <ul style="list-style-type: none"><li>Investment Properties (Business Purpose)</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                      |                                                                                                                                                                                     |
| Loan Purpose                               | <ul style="list-style-type: none"><li>Purchase, Rate/Term, and Cash Out</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                      |                                                                                                                                                                                     |
| 2-1 Temporary Buydown Purchase Only Option | <ul style="list-style-type: none"><li>Seller Paid Buydown/Concession</li><li>Min Score 680</li><li>Min DSCR &gt;= .75</li><li>Borrower qualifies at actual rate (pre-buydown).</li><li>Lender Paid or 3<sup>rd</sup> Party Paid Buydown (Excluding Real Estate Agents, Brokerages, Borrower, or relatives) permitted for Correspondent Clients only.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                      |                                                                                                                                                                                     |
| Cash-Out                                   | <ul style="list-style-type: none"><li>LTV &gt; 60% - \$1,000,000 or when DSCR is &gt;=.75 unlimited cash out permitted with 18 months reserves exclusive of cash back</li><li>LTV &lt;=60% - Unlimited</li><li>NOTE: that cash-in-hand limits do not apply to Delayed Financing Transactions</li><li>Cash out refinances on properties acquired in the past 12 months require DSCR of .75</li><li>Condos in FL max LTV 75%</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                      |                                                                                                                                                                                     |
| Property Type                              | <ul style="list-style-type: none"><li>Single Family, Attached, 2-4 Units, Warrantable Condo, and Non-Warrantable Condo.</li><li>C4 condition rating or better.</li><li>Condotels</li><li>Rural Properties are not eligible.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                      |                                                                                                                                                                                     |
| Condotel                                   | Purchase or Rate/Term: <ul style="list-style-type: none"><li>700 Score / Max LTV 70%</li><li>680 Score / Max LTV 65%</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Cash Out: <ul style="list-style-type: none"><li>700 Score / Max LTV 65%</li><li>680 Score / Max LTV 60%</li></ul>    | <ul style="list-style-type: none"><li>Min DSCR &gt;= .75</li><li>Max Loan Amt: \$1,500,000</li><li>Min Reserves: 6 months</li></ul>                                                 |
| Appraisals                                 | <ul style="list-style-type: none"><li>FNMA Form 1004, 1025, 1073 with interior/exterior inspection</li><li>2<sup>nd</sup> Appraisal required for loan amounts &gt; \$2m on loans with a DSCR &gt; .75.</li><li>No Ratio loans with loan amounts &gt; \$1,500,000 require 2 appraisals.</li><li>Appraisal Review Product to be ordered on all loans with an SSR over 2.5 with the exception of those with a full second appraisal.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                      |                                                                                                                                                                                     |
| Declining Markets                          | <ul style="list-style-type: none"><li>Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when &gt; 65% LTV.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                      |                                                                                                                                                                                     |
| Rural Property (Vacation Areas Only)       | <ul style="list-style-type: none"><li>Properties meeting the rural definition are not allowed.</li><li>Property up to 2-acres, not meeting the rural definition, eligible with the following restrictions:</li><li>If property is accessible by a gravel road and distance of comparables is &gt; 1 mile away, the property could be considered rural even if it is marked suburban, and then Max LTV is the lesser of 65% LTV or the applicable Matrix LTV.</li><li>Min DSCR &gt;= 1.00</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                      |                                                                                                                                                                                     |
| Income Requirements – Investor DSCR        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                      |                                                                                                                                                                                     |
| Income                                     | <u>General Requirements:</u> <ul style="list-style-type: none"><li>All refinance transactions require the property to be leased. Vacant property not eligible with the exceptions of properties leased through short term rental agencies or on certain Delayed Financing loans.</li><li>Property must not be occupied by any member of the borrower’s LLC or any family member.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                      |                                                                                                                                                                                     |
|                                            | <u>Short Term Rentals:</u> <ul style="list-style-type: none"><li>Defined as properties leased on a nightly, weekly, monthly, or seasonal basis.</li><li>ALL STRs require evidence from third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject STR is located allows properties to be rented as STRs; with the exception of the five (5) New York City Boroughs which are ineligible for purchase by NQM Funding.</li><li>Not permitted for No Ratio.</li><li>Max LTV: Lesser of 75% or the LTV/CLTV available per the matrix.</li></ul> <u>DSCR Calculation Methods and Minimum DSCR:</u> <ul style="list-style-type: none"><li><u>Option 1:</u> Lesser of 1007/1025 completed using either long-term or short-term market rents – Min DSCR .75.<ul style="list-style-type: none"><li>When the 1007/1025 is prepared with the use of short-term rentals, the appraiser is required to address the seasonality of the subject property short term rental market in computing the market rent. If the appraiser fails to appropriately address for seasonality, gross rents should be computed using the vacancy factor as determined by the AirDNA Property Earning Report.</li><li>For Long Term Rentals, when the actual rent as documented from the lease exceeds market rents, the higher figure may be used with two months proof of receipt of the higher rental income.</li></ul></li><li><u>Option 2:</u> 12-month lookback period to determine avg rents or annual or monthly statements from AirBNB or similar service – Min DSCR .75.</li><li><u>Option 3:</u> AirDNA / Min DSCR 1.15. Available only on purchases or recently renovated refinances</li></ul> AirDNA’s “Revenue Calculator/Property Earning Potential Report” must meet the following requirements: <ul style="list-style-type: none"><li>Forecast period must cover 12 months from Note date.</li><li>Occupancy rate must be &gt;= 50%.</li><li>Income calculation is the annual gross revenue from AirDNA ÷ 12</li><li>Must have five (5) comparison properties.</li><li>Must be similar in size, room count, amenities, availability, and occupancy.</li><li>For 2-4 Units, a report must be pulled on each individual unit in AirDNA, and the sum of all combined units’ rental income will be used to determine the DSCR ratio.</li></ul> |                                                                                                                      |                                                                                                                                                                                     |



| Underwriting Requirements – Investor DSCR |                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|-------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Credit Score                              | <ul style="list-style-type: none"> <li>Lowest Middle score of all borrowers</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                      | DSCR                   | <ul style="list-style-type: none"> <li>Loan amounts <math>\geq</math> \$75K - <math>&lt;</math> \$125K: 1.00.</li> <li>Cash out refinances on properties acquired in the past 12 months: .75.</li> <li>Minimum DSCR .75 unless qualifying using the No Ratio guides.</li> <li>Condotels min DSCR <math>\geq</math> .75</li> <li>See matrix for all else.</li> </ul>                                                                                                                                    |
| Tradelines when DSCR is .75 or greater    | <ul style="list-style-type: none"> <li>All borrowers have 3 scores: OR</li> <li>Min: 2 open and reporting 24-months; OR</li> <li>3 open and reporting 12-months; OR</li> <li>24-months mortgage rating reporting on credit</li> </ul>                                                                                                                                                                                                                                       | Reserves ( $\geq$ .75) | <ul style="list-style-type: none"> <li>Loan Amount to \$500K and <math>\leq</math>80% LTV = 3 months of PITIA</li> <li>Loan Amount to \$500K and <math>&gt;</math> 80% LTV = 6 months of PITIA</li> <li>Loan Amount <math>&gt;</math>\$500K to \$2.0M = 6 months of PITIA</li> <li>Loan Amount <math>&gt;</math> \$2.0M = 12 months of PITIA</li> <li>Multi-Family @ 80% LTV requires greater of 6 months or reserves indicated above.</li> <li>Cash out may be used to satisfy requirement</li> </ul> |
| Tradelines – No Ratio                     | <ul style="list-style-type: none"> <li>Each borrower must have a minimum of two trades within 24 months that show a 12-month history OR a combined credit profile between both borrowers with a minimum of three tradelines.</li> <li>Tradeline activity is not required.</li> <li>Eligible trades cannot have delinquency in the past 24 months.</li> <li>Current housing not reporting on credit may count as a trade if cancelled checks/debits are provided.</li> </ul> | Reserves – No Ratio    | <ul style="list-style-type: none"> <li>Loan Amount <math>\geq</math>\$75K to \$500K – 3 months of PITIA</li> <li>Loan Amount <math>&gt;</math> \$500,000 – \$2.0M = 6 months of PITIA</li> <li>Cash out may be used to satisfy requirement</li> </ul>                                                                                                                                                                                                                                                  |
|                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Gift Funds             | <ul style="list-style-type: none"> <li>Allowed after min 10% borrower contribution.</li> <li>Cannot be used to meet reserve requirements</li> </ul>                                                                                                                                                                                                                                                                                                                                                    |
|                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Assets                 | <ul style="list-style-type: none"> <li>30-day asset verification required</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Investor Experience                       | <ul style="list-style-type: none"> <li>Not required</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                              | Age of Documentation   | <ul style="list-style-type: none"> <li>Credit - 120 days</li> <li>Income and Assets - 90 days</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                               |
| Interested Party Contributions            | <ul style="list-style-type: none"> <li>ALL = 6%</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                  | Prepayment Penalty     | <ul style="list-style-type: none"> <li>Required on Investment Properties when permitted.</li> <li>See PPP Requirements Matrix</li> </ul>                                                                                                                                                                                                                                                                                                                                                               |

INVESTOR – DSCR (5-10 UNITS OR MIXED USE 2-8 UNITS)

| Investment Property (Business Purpose) |                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
|----------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Maximum LTV/CLTVs                      |                                                                                                                                                                                                                                                                                                                                                                                                              | >=1.00 DSCR                                                                                                                                                                                    |               |                                                                                                                                                                                                                                                                                                                               |
| Credit Score                           | Loan Amount                                                                                                                                                                                                                                                                                                                                                                                                  | Purchase                                                                                                                                                                                       | R/T Refinance | Cash-Out Refinance                                                                                                                                                                                                                                                                                                            |
| 720+                                   | <=1,500,000                                                                                                                                                                                                                                                                                                                                                                                                  | 75                                                                                                                                                                                             | 75            | 70                                                                                                                                                                                                                                                                                                                            |
|                                        | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                        | 75                                                                                                                                                                                             | 70            | 65                                                                                                                                                                                                                                                                                                                            |
|                                        | 2,000,001- 2,500,000                                                                                                                                                                                                                                                                                                                                                                                         | 70                                                                                                                                                                                             | 70            | 65                                                                                                                                                                                                                                                                                                                            |
|                                        | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                                                                                                                        | 70                                                                                                                                                                                             | 70            | 65                                                                                                                                                                                                                                                                                                                            |
| 700+                                   | <=1,500,000                                                                                                                                                                                                                                                                                                                                                                                                  | 75                                                                                                                                                                                             | 75            | 65                                                                                                                                                                                                                                                                                                                            |
|                                        | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                        | 70                                                                                                                                                                                             | 70            | 65                                                                                                                                                                                                                                                                                                                            |
|                                        | 2,000,001- 2,500,000                                                                                                                                                                                                                                                                                                                                                                                         | 65                                                                                                                                                                                             | 65            | 60                                                                                                                                                                                                                                                                                                                            |
|                                        | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                                                                                                                        | 65                                                                                                                                                                                             | 65            | 60                                                                                                                                                                                                                                                                                                                            |
| 680 – 699                              | <=1,500,000                                                                                                                                                                                                                                                                                                                                                                                                  | 70                                                                                                                                                                                             | 65            | 65                                                                                                                                                                                                                                                                                                                            |
|                                        | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                        | 65                                                                                                                                                                                             | 60            | 60                                                                                                                                                                                                                                                                                                                            |
|                                        | 2,000,001- 2,500,000                                                                                                                                                                                                                                                                                                                                                                                         | 65                                                                                                                                                                                             | 60            | 60                                                                                                                                                                                                                                                                                                                            |
|                                        | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                                                                                                                        | 65                                                                                                                                                                                             | 60            | 60                                                                                                                                                                                                                                                                                                                            |
| 660-679                                | <=1,500,000                                                                                                                                                                                                                                                                                                                                                                                                  | 65                                                                                                                                                                                             | 65            | 60                                                                                                                                                                                                                                                                                                                            |
|                                        | 1,500,001 – 2,000,000                                                                                                                                                                                                                                                                                                                                                                                        | 60                                                                                                                                                                                             | 60            | 55                                                                                                                                                                                                                                                                                                                            |
| Housing History                        |                                                                                                                                                                                                                                                                                                                                                                                                              | Geographic Restrictions                                                                                                                                                                        |               | Investor Experience                                                                                                                                                                                                                                                                                                           |
| • 0x30x24                              |                                                                                                                                                                                                                                                                                                                                                                                                              | • FL: Non-Permanent Resident Aliens from China are ineligible<br>• HI: Non-licensed State<br>• MD: Baltimore City Row Homes are ineligible.<br>• NY: STRs in the 5 NYC Boroughs are ineligible |               | • No First Time Investors for 2-8 unit Mixed Use. Borrower must have a history of owning and managing commercial or residential real estate for at least 1 year in the last 3 years<br>• First Time Investors considered on 5-10 Unit residential properties with a 0x30x24 housing history or when the primary is owned F&C. |
| Housing Event Seasoning                |                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| • BK/FC/SS/DIL/Mod: 24 Mos             |                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| General Requirements                   |                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| Product Type                           | • 40-Yr Fixed, 30-Yr Fixed, 15-Yr Fixed, 40 YR I/O, 30 YR I/O.                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| Interest Only                          | • Min Credit Score: 660<br>• Max LTV: 75%<br>• Borrower to qualify using the IO payment based on the qualifying rate (Greater of the fully indexed rate or note rate).                                                                                                                                                                                                                                       |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| Loan Amounts                           | • Min: \$250,000 and Max \$3,000,000<br>Loan sizes under \$400,000 require a 5% reduction to LTV                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| Occupancy                              | • Investment Properties (Business Purpose)                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| Loan Purpose                           | • Purchase, Rate/Term, and Cash Out                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| Cash-Out                               | • Max cash-out: \$1,000,000                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| Foreign National                       | • Min DSCR >= 1.00<br>• Min Score: 700 if using US Credit<br>• Foreign Credit is permitted.<br>• Reserves: 12 months PITIA<br>LTV requirements:<br>• <= \$2.0M = Purch & R/T: 70% LTV or Cash-Out: 65% LTV<br>• > \$2.0M - \$2.5M = Purch & R/T: 65% LTV or Cash-Out: 60% LTV<br>• > \$2.5M - \$3.0M = Purch & R/T: 60% LTV or Cash-Out: 55% LTV                                                             |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| Property Type                          | • Residential 5-10 Units<br>• Mixed Use 2-8 units. For properties with less than 5 units, at least 1 unit must be commercial.<br>o 2-3 Units: Max 1 commercial unit<br>o 4-5 Units: Max 2 commercial units<br>o 6-8 Units: Max 3 commercial units<br>o Commercial space must not exceed 49% of the total building area                                                                                       |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| Property Requirements                  | • Minimum 400 square feet per unit<br>• Be accessible for year-round residential use.<br>• Contain a full kitchen and bath.<br>• Represent highest and best use of the property.<br>• Not contain any health or safety issues                                                                                                                                                                                |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| Property Condition                     | • No fair or poor ratings<br>• No environmental issues (Storage or use of hazardous material, ex. Dry Cleaners, Laundromat)<br>• No health or safety issues as noted by the appraiser (ex. Broker windows, stairs, etc.)<br>• No excessive deferred maintenance that could become a health or safety issue for tenants.<br>• No structural deferred maintenance (ex. Foundation, roof, electrical, plumbing) |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |
| Unleased Units                         | • Maximum 1 vacant unit on a 2-3 Unit property; 2 vacancies on 4+ units. Note that properties are permitted to be delivered vacant on purchase transactions.<br>• Unleased units must be in lease ready condition; units cannot be undergoing rehab, etc.                                                                                                                                                    |                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                                               |

|            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                               |                      |                                                                                                                                                                                                                                                                                                                               |
|------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Appraisals | <u>Residential 5-10 units:</u> <ul style="list-style-type: none"><li>• FHLMC 71A</li><li>• FHLMC 71B for loan amounts &lt; \$750K (Correspondent only)</li><li>• Narrative report may be used but is not required.</li></ul> <u>Mixed Use 2-8 Units:</u> <ul style="list-style-type: none"><li>• FHLMC 71A</li><li>• FHLMC 71B for loan amounts &lt; \$750 (Correspondent only)</li><li>• General Purpose Commercial Forms (ex. GP Commercial Summary Form) or Narrative report</li></ul> For loan amounts > \$2M, a second appraisal is not required if the 71A or Commercial Narrative report is provided.<br>The following are required with each report: <ul style="list-style-type: none"><li>• Full Interior Inspection of each unit</li><li>• Rent roll.</li><li>• Income and Expense Statement</li><li>• Photos of subject including exterior/interior and street scene</li><li>• Aerial photo</li><li>• Sketch or floor plan of typical units.</li><li>• Map</li><li>• Appraiser qualifications</li></ul> BPO to be ordered on all transactions with the exception of those including two full appraisals. |                                                                                                                                                                               |                      |                                                                                                                                                                                                                                                                                                                               |
|            | Declining Markets <ul style="list-style-type: none"><li>• Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV, when &gt;65% LTV.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                               |                      |                                                                                                                                                                                                                                                                                                                               |
|            | Rural Property <ul style="list-style-type: none"><li>• Up to 2 acres, not meeting the rural definition, permitted</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                               |                      |                                                                                                                                                                                                                                                                                                                               |
|            | Income Requirements – DSCR (5-10 Units or Mixed Use 2-8 Units)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                               |                      |                                                                                                                                                                                                                                                                                                                               |
|            | Income <ul style="list-style-type: none"><li>• Use lower of Estimated market rent or lease agreement on a refinance.</li><li>• Purchases use the estimated market rent.</li><li>• For leases that have converted to month-to-month, provide 2 months bank statements to support rental income.</li><li>• Vacant unit(s) – use 75% of market rents. Max 1 vacancy on 2–3-unit properties or 2 vacancies on 4+ units.</li><li>• Reduce qualifying rents by any management fee reflected on the appraisal report.</li><li>• 2-8 Mixed Use: Income from commercial space must not exceed 49% of the total property income.</li><li>• Minimum DSCR &gt;=1.00</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                                                                                                                                                                               |                      |                                                                                                                                                                                                                                                                                                                               |
|            | Underwriting Requirements – DSCR (5-10 Units or Mixed Use 2-8 Units)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                               |                      |                                                                                                                                                                                                                                                                                                                               |
|            | Credit Score                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | <ul style="list-style-type: none"><li>• Middle of 3 scores or lower of 2 of all Borrowers</li></ul>                                                                           | Reserves             | <ul style="list-style-type: none"><li>• Loan Amt &lt;= \$1.5M: 6 Months PITIA</li><li>• Loan Amt &gt; \$1.5M - \$2.0M: 9 months PITIA</li><li>• Loan Amt &gt; \$2.0M - \$2.5M: 12 Months PITIA</li><li>• Loan Amt &gt; \$2.5M - \$3.0M: 12 Months PITIA</li><li>• Cash out may be used to meet reserve requirements</li></ul> |
|            | Tradelines                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"><li>○ All borrowers have 3 scores: or</li><li>○ Min: 2 open and reporting 24-months; or</li><li>○ 3 open and reporting 12-months.</li></ul> | Gift Funds           | <ul style="list-style-type: none"><li>• Allowed after min 10% borrower contribution.</li><li>• Cannot be used to meet reserve requirements</li></ul>                                                                                                                                                                          |
|            | Assets                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | <ul style="list-style-type: none"><li>• 30-day asset verification required</li></ul>                                                                                          | Age of Documentation | <ul style="list-style-type: none"><li>• Credit - 120 days</li><li>• Income and Assets - 90 days</li></ul>                                                                                                                                                                                                                     |
|            | Interested Party Contributions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | <ul style="list-style-type: none"><li>• ALL = 6%</li></ul>                                                                                                                    | Prepayment Penalty   | Required on Investment Properties when permitted.                                                                                                                                                                                                                                                                             |

FOREIGN NATIONAL – 2<sup>ND</sup> HOME AND INVESTMENT ONLY

| Maximum LTV/CLTVs                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2 <sup>nd</sup> Home 2 Year Standard Doc/Asset Utilization<br>(Investment properties reduce LTV by 5%) |                                                                                                                                                                                                                                                            |                           |               |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------|---------------|
| Credit Score                                                                                                                                                                                                                                                                                                                                                                       | Loan Amount                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Purchase                                                                                               | R/T Refi                                                                                                                                                                                                                                                   | Cash-Out Refi             |               |
| 700+                                                                                                                                                                                                                                                                                                                                                                               | <=1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 75                                                                                                     | 70                                                                                                                                                                                                                                                         | 65                        |               |
|                                                                                                                                                                                                                                                                                                                                                                                    | 1,500,001 – 2,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 70                                                                                                     | 70                                                                                                                                                                                                                                                         | 65                        |               |
|                                                                                                                                                                                                                                                                                                                                                                                    | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 65                                                                                                     | 65                                                                                                                                                                                                                                                         | 60                        |               |
| Foreign Credit                                                                                                                                                                                                                                                                                                                                                                     | <=1,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 70                                                                                                     | 70                                                                                                                                                                                                                                                         | 65                        |               |
|                                                                                                                                                                                                                                                                                                                                                                                    | 1,000,001 – 1,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 70                                                                                                     | 70                                                                                                                                                                                                                                                         | 65                        |               |
|                                                                                                                                                                                                                                                                                                                                                                                    | 1,500,001- 2,500,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 65                                                                                                     | 65                                                                                                                                                                                                                                                         | 60                        |               |
|                                                                                                                                                                                                                                                                                                                                                                                    | 2,500,001 – 3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 60                                                                                                     | 60                                                                                                                                                                                                                                                         | 55                        |               |
| Housing History                                                                                                                                                                                                                                                                                                                                                                    | Housing Event Seasoning                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | First Time Investor                                                                                    |                                                                                                                                                                                                                                                            | Unleased Properties       |               |
| 0x30x12                                                                                                                                                                                                                                                                                                                                                                            | BK/FC/SS/DIL/Mod: > 48 Mo                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Allowed                                                                                                |                                                                                                                                                                                                                                                            | Not Allowed on Refinances |               |
| Property Type Restrictions                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Condo & 2-4 Units: Max LTV/CLTV: 70%                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Maximum LTV/CLTVs                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | DSCR (Investment Only)                                                                                 |                                                                                                                                                                                                                                                            |                           |               |
| DSCR                                                                                                                                                                                                                                                                                                                                                                               | Credit Score                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Loan Amount                                                                                            | Purchase                                                                                                                                                                                                                                                   | R/T Refi                  | Cash-Out Refi |
| >=1.00                                                                                                                                                                                                                                                                                                                                                                             | 700+                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | <=2,000,000                                                                                            | 70                                                                                                                                                                                                                                                         | 70                        | 65            |
|                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,000,001 – 2,500,000                                                                                  | 65                                                                                                                                                                                                                                                         | 65                        | 60            |
|                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,500,001 – 3,000,000                                                                                  | 60                                                                                                                                                                                                                                                         | 60                        | 55            |
|                                                                                                                                                                                                                                                                                                                                                                                    | Foreign Credit                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | <=2,000,000                                                                                            | 70                                                                                                                                                                                                                                                         | 70                        | 65            |
|                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,000,001 – 2,500,000                                                                                  | 65                                                                                                                                                                                                                                                         | 65                        | 60            |
|                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2,500,001 – 3,000,000                                                                                  | 55                                                                                                                                                                                                                                                         | 55                        | 50            |
| Housing History                                                                                                                                                                                                                                                                                                                                                                    | Housing Event Seasoning                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | First Time Investor                                                                                    |                                                                                                                                                                                                                                                            | Unleased Properties       |               |
| 0x30x12                                                                                                                                                                                                                                                                                                                                                                            | BK/FC/SS/DIL/Mod: >= 36 Mo                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Allowed                                                                                                |                                                                                                                                                                                                                                                            | Not Allowed on Refinances |               |
| Geographic Restrictions                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| <ul style="list-style-type: none"><li>• IL counties: Cook, Kane, Peoria and Will: Not permitted for OO and SH – Does not apply to Correspondents.</li><li>• FL: Non-Permanent Resident Aliens from China are ineligible</li><li>• HI: Non-licensed State</li><li>• MD: Baltimore City Row Homes are ineligible.</li><li>• NY: STRs in the 5 NYC Boroughs are ineligible.</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| General Requirements                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Product Type                                                                                                                                                                                                                                                                                                                                                                       | • 30-Yr Fixed, 15-Yr Fixed, 30-Yr Interest Only                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Interest Only                                                                                                                                                                                                                                                                                                                                                                      | 30-Yr Interest Only Available                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Loan Amounts                                                                                                                                                                                                                                                                                                                                                                       | •Min: 150,000 (no exceptions)                      •Max: 3,000,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Occupancy                                                                                                                                                                                                                                                                                                                                                                          | <ul style="list-style-type: none"><li>• Full Doc – 2<sup>nd</sup> Home and Investment Property (Business Purpose)</li><li>• DSCR – Investment Property (Business Purpose)</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Loan Purpose                                                                                                                                                                                                                                                                                                                                                                       | Purchase, Rate/Term, and Cash Out                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Cash-Out                                                                                                                                                                                                                                                                                                                                                                           | <ul style="list-style-type: none"><li>• \$1,000,000 if LTV &gt; 55%</li><li>• Unlimited for LTV &lt;= 55%</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Property Type                                                                                                                                                                                                                                                                                                                                                                      | <ul style="list-style-type: none"><li>• Single Family, Attached, 2-4 Units, Warrantable and Non-Warrantable Condo, Condotel</li><li>• C4 condition rating or better.</li><li>• Condo &amp; 2-4 Units - Max LTV/CLTV: Purchase and R/T = 70%; Cash-out = 65%</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Appraisals                                                                                                                                                                                                                                                                                                                                                                         | <ul style="list-style-type: none"><li>• FNMA Form 1004, 1025, 1073 with interior/exterior inspection,</li><li>• 2nd Appraisal required for loan amounts &gt; \$2M.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Declining Markets                                                                                                                                                                                                                                                                                                                                                                  | Declining markets, as identified by the appraiser, require a 5% LTV reduction off Matrix Max LTV when >65% LTV.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Rural Property (Vacation Areas Only)                                                                                                                                                                                                                                                                                                                                               | <ul style="list-style-type: none"><li>• Not allowed as defined in the Guidelines.</li><li>• Property up to 2-acres, not meeting the rural definition, eligible with the following restrictions:</li><li>• If property is accessible by a gravel road and comparables distance are &gt; 1 mile away, the property could be considered rural even if it is marked suburban, and then Max LTV is the lesser of 65% LTV or the applicable Matrix LTV.</li></ul>                                                                                                                                                                                                                                                        |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Condotel                                                                                                                                                                                                                                                                                                                                                                           | Full Doc 2 <sup>nd</sup> Home & NOO Purchase or Rate/Term<br>• Max 70% LTV<br>Full Doc 2 <sup>nd</sup> Home & NOO Cash Out<br>• Max 60% LTV                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | DSCR Purchase or Rate/Term<br>• Max 65% LTV<br><br>DSCR Cash Out<br>• Max 60% LTV                      | <ul style="list-style-type: none"><li>• Max Loan Amount \$1,500,000</li><li>• Minimum 6 months reserves</li><li>• Must have full kitchen &amp; 1 separate bedroom.</li><li>• Must be in a resort area or affiliated with a national hotel chain.</li></ul> |                           |               |
| ACH Form                                                                                                                                                                                                                                                                                                                                                                           | Automatic Payment Authorization (ACH) Form is required for set-up along with a copy of a cancelled check.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Income Requirements – Foreign National                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |
| Income – Standard Doc                                                                                                                                                                                                                                                                                                                                                              | <u>Salary/Wage Earner</u> <ul style="list-style-type: none"><li>• Paystubs covering a minimum of 30-days (which include YTD income) and ONE of the following:<ul style="list-style-type: none"><li>○ W-2 equivalent; OR</li><li>○ Two (2) years tax returns from borrower country of origin; OR</li><li>○ A letter from employer on company letter head providing current monthly salary, YTD earnings and total earnings for the past 2-years. Letter from employer must be on company letterhead, including address and company web address, Employer to be independently verified (LexisNexis, D&amp;B, Google, other). All docs must be translated by an independent certified translator.</li></ul></li></ul> |                                                                                                        |                                                                                                                                                                                                                                                            |                           |               |

|                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                      |
|--------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                | <u>Self-Employed</u> <ul style="list-style-type: none"><li>• Must be self-employed for a minimum of 2 years evidenced by a letter from the borrower’s CPA or local equivalent (the “Accountant”) on Accountant letterhead. The letter must include income figures for each of the last 2 years and YTD income. A business license (where required) and organization documents should be provided; and</li><li>• A copy of the Accountant’s current license is required. The Business &amp; Accountant must be independently verified; and</li><li>• All documents must be translated by an independent certified translator.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                      |
| Asset Utilization              | <ul style="list-style-type: none"><li>• Eligible assets must be sourced and seasoned for a minimum of three (3) months.</li><li>• Qualified assets and reserves may be deposited in a financial institution outside the U.S. subject to State/LTV restrictions.</li><li>• Eligible assets must be divided by 60 to determine a monthly income stream.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                      |
| Income – DSCR                  | <u>General Requirements:</u> <ul style="list-style-type: none"><li>• All refinance transactions require the property to be leased. Vacant property not eligible with the exceptions of properties leased through short term rental agencies or on certain Delayed Financing loans.</li><li>• Property must not be occupied by any member of the borrower’s LLC or any family member.</li></ul> <u>Short Term Rentals:</u> <ul style="list-style-type: none"><li>• Defined as properties leased on a nightly, weekly, monthly, or seasonal basis.</li><li>• ALL STRs require evidence from third party vendor (such as Property Guard, Vrolio or equivalent) validating that the governing municipality where the subject STR is located allows properties to be rented as STRs; with the exception of the five (5) New York City Boroughs, which are ineligible for purchase by NQM Funding.</li></ul> <u>DSCR Calculation Methods and Minimum DSCR:</u> <ul style="list-style-type: none"><li>• <u>Option 1:</u> Lesser of 1007/1025 completed using either long-term or short-term market rents – DSCR min 1.00.<ul style="list-style-type: none"><li>◦ When the 1007/1025 is prepared with the use of short-term rentals, the appraiser is required to address the seasonality of the subject property short term rental market in computing the market rent. If the appraiser fails to appropriately address for seasonality, gross rents should be computed using the vacancy factor as determined by the AirDNA Property Earning Report.</li><li>◦ For Long Term Rentals, when the actual rent as documented from the lease exceeds market rents, the higher figure may be used with two months proof of receipt of the higher rental income.</li></ul></li><li>• <u>Option 2:</u> 12-month lookback period to determine avg rents or annual or monthly statements from AirBNB or similar service - DSCR min 1.00.</li><li>• <u>Option 3:</u> AirDNA / Min DSCR 1.15. Available only on purchases or recently renovated refinances</li><li>• AirDNA’s “Revenue Calculator/Property Earning Potential Report” (fka Rentalizer) must meet the following requirements):<ul style="list-style-type: none"><li>• Forecast period must cover 12 months from Note date.</li><li>• Occupancy rate must be &gt;= 50%.</li><li>• Income calculation is the annual gross revenue from AirDNA ÷ 12</li><li>• Must have five (5) comparison properties.</li><li>• Must be similar in size, room count, amenities, availability, and occupancy.</li><li>• For 2-4 Units, a report must be pulled on each individual unit in AirDNA, and the sum of all combined units’ rental income will be used to determine the DSCR ratio.</li></ul></li></ul> |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                      |
|                                | <b>Underwriting Requirements – Foreign National</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                      |
| Documentation Requirements     | Provide borrower’s valid and unexpired passport and documentation the borrower is legally present: <ul style="list-style-type: none"><li>• Copy of borrower’s unexpired visa OR an I-797 with valid extension dates and I-94</li><li>• Borrowers from countries participating in the visa waiver program are not required to provide a visa.</li><li>• Citizens of Canada traveling to the US do not require nonimmigrant visa.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                      |
| Credit Score                   | Middle of 3 scores or lower of 2, if available                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | DTI Requirements                                                      | Standard Max 50% (does not apply to DSCR)                                                                                                                                                                                                                                                                                                                                                            |
| Tradelines                     | Minimum: 2 open and reporting 24-months or 3 open and reporting 12-months even if 3 credit scores are available. See Guide for requirements                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Reserves                                                              | <ul style="list-style-type: none"><li>• 12-months of PITIA</li><li>• 6-months with 5% LTV reduction.</li><li>• Cash out may be used to satisfy requirement</li><li>• Reserves not required when using Asset Utilization as sole source of income.</li></ul>                                                                                                                                          |
| Assets                         | <ul style="list-style-type: none"><li>• 30-days asset verification required for US Based Accounts; 60-days for Foreign Assets</li><li>• Deposits &gt; 50% of gross income must be documented on purchases</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Non-Occupant Co-Borrower                                              | <ul style="list-style-type: none"><li>• Permitted on Foreign National loans when the non-occupant is a US Citizen who will be taking title.</li></ul>                                                                                                                                                                                                                                                |
| Gift Funds                     | <ul style="list-style-type: none"><li>• Permitted as long as borrower has 10% own funds for downpayment, closing costs and reserves.</li><li>• Max loan amount of \$1m when there is a gift</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | FN – Residual Income<br>2 <sup>nd</sup> Homes only                    | <ul style="list-style-type: none"><li>• Defined as Gross Monthly Income – Total Monthly Obligations.</li><li>• Requirement based on # in household.</li><li>• FN: applies to HPML loans or when the DTI &gt; 43% on 2nd homes only:<ul style="list-style-type: none"><li>• 1 person = \$1,500</li><li>• 2 persons = \$2,500</li><li>• Add \$150 per additional household member.</li></ul></li></ul> |
| Age of Documentation           | <ul style="list-style-type: none"><li>• Credit - 120 days</li><li>Income and Assets - 90 days</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                      |
| Escrow Impounds                | <ul style="list-style-type: none"><li>• Escrow of taxes and insurance are required with ACH payments for all Foreign National Loans.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Prepayment Penalty                                                    | <ul style="list-style-type: none"><li>• Required on NOO when permitted.</li><li>• See PPP Requirements Matrix</li></ul>                                                                                                                                                                                                                                                                              |
| Interested Party Contributions | Second Homes <ul style="list-style-type: none"><li>• &lt;= 75% LTV = 9%</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Investment <ul style="list-style-type: none"><li>• ALL = 6%</li></ul> |                                                                                                                                                                                                                                                                                                                                                                                                      |

PREPAYMENT PENALTY REQUIREMENTS

| PPP Requirements Matrix                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
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| Required on Investment Properties as follows:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <ul style="list-style-type: none"><li>• AK, KS, MN, NH, NM: Penalties not permitted.</li><li>• CO: Loan Product Choice Disclosure form included with the Disclosure &amp; Closing package - Max permitted: 5% for 60 months</li><li>• DE: For loan applications registered and locked on or after 10/1/2023, prepayment penalties on NOO properties are allowed in the State of Delaware.</li><li>• IL: PPP not allowed on loans vested in the name of individuals (Permitted when vested in an LLC/Entity).</li><li>• MD: 2 months advance interest for 36 months; or &gt;36-60 months, 6 months interest on 80%.</li><li>• MI: Max permitted: 1% for 36 months.</li><li>• MS: Declining Prepay only, Max permitted: 5%/60, 4%/48, 3%/36, 2%/24, or 1%/12.</li><li>• OH: &gt;= \$110,223 Loan Amount (Effective 1/4/2024) – Max permitted: 5% for 60 Months</li><li>• OR: Additional Notice to Borrower verbiage included in the Prepay Addendum in the Closing Package - Max permitted: 5% for 60 months</li><li>• PA: 1-2-units w/loan amount &gt; \$312,159 (Effective 1/4/2024) permitted when closing in an LLC, and 3-4 units permitted regardless of loan size.</li><li>• RI: Max permitted: 2% for 12 Months</li><li>• WI: Loan Product Choice Disclosure Included with the Disclosure and Closing package - Max Allowable PPP 5% for 60 months</li><li>• All Other States: Max PPP Permitted 5% for 60 months – see rate sheet</li></ul> |